

# THE NCA HUB

Examination Preparation

## CANADIAN CONTRACT LAW

### PRACTICE QUESTIONS & MODEL ANSWERS

12 Examination-Grade Questions | Complete IRAC Model Answers | Examiner's Guides  
NCA Syllabus: Revised April 2023 | Ben-Ishai & Percy 11th ed.

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### HOW TO USE THESE PRACTICE QUESTIONS

These 12 questions are calibrated to the format, complexity, and mark allocation of the NCA Canadian Contract Law examination. They mirror the exam's four-question structure (approximately 25 + 25 + 30 + 20 marks) and are designed to be attempted under timed conditions before consulting the model answers.

| PARAMETER     | DETAIL                                                                                                                                                      |
|---------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Format        | Open-book. Hard copy notes only. 3 hours. Pass = 50%.                                                                                                       |
| Mark Rate     | Approximately 1.8 minutes per mark. A 25-mark question = 45 minutes. A 10-mark sub-part = 18 minutes.                                                       |
| Primary Cases | Case names are mandatory. Full citations are NOT required — 'Ron Engineering,' 'Bhasin v Hrynew,' and 'Davis Contractors' are sufficient.                   |
| Writing Style | 'Do not feel obliged to provide an initial summary of the facts; rather, deploy the facts in your analysis.' NCA sample exam instructions.                  |
| Key Skill     | State the RULE with the CASE NAME → apply it to the SPECIFIC FACTS using 'because' → conclude. Bare legal statements without factual application earn zero. |

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| Q  | TOPIC                                                                           | MARKS | TIME   |
|----|---------------------------------------------------------------------------------|-------|--------|
| 1  | Tendering — Contract A/Contract B, Compliance, Exclusion Clause (Tercon)        | 25    | 45 min |
| 2  | Pre-Existing Duty + Privity + Frustration (Three Issues)                        | 25    | 45 min |
| 3  | Frustration (Three Sub-Parts) — Davis Test, Supervening Illegality, Restitution | 30    | 54 min |
| 4  | Representations vs Terms + Misrepresentation + Deposit Recovery                 | 20    | 36 min |
| 5  | Consideration — Modification, Forbearance, and Promissory Estoppel              | 20    | 36 min |
| 6  | Exclusion Clause — Incorporation + Tercon + Unconscionability                   | 20    | 36 min |
| 7  | Interpretation — Sattva Matrix + Implied Terms + Good Faith (Bhasin/Callow)     | 25    | 45 min |
| 8  | Mistake (Three Types) + Misrepresentation + Hedley Byrne                        | 25    | 45 min |
| 9  | Illegality + Restraint of Trade + Severance                                     | 20    | 36 min |
| 10 | Remedies — Expectation, Reliance, Mitigation, Hadley Remoteness                 | 25    | 45 min |
| 11 | Unconscionability + Duress + Specific Performance                               | 20    | 36 min |
| 12 | Full Exam Simulation — Tendering + Modification + Frustration + Remedies        | 30    | 54 min |

### ⚠ WARNING — THE CONTRACTS EXAM IS CASE-DRIVEN — NOT DOCTRINE-DRIVEN

The NCA syllabus states the exam is based EXCLUSIVELY on the assigned casebook materials. Every rule statement must cite the specific case from the Ben-Ishai & Percy casebook. 'Under Ron Engineering, a compliant tender creates Contract A' earns marks. 'The tendering process creates a contract' earns zero. This single habit — case name with every rule — separates passing from failing answers.

## QUESTION 1 OF 12

|                  |                                                                       |
|------------------|-----------------------------------------------------------------------|
| Primary Topic    | Tendering — Contract A, Compliance, Exclusion Clause                  |
| Secondary Topics | Ron Engineering; MJB Enterprises; Tercon 2010 SCC 4; duty of fairness |
| Difficulty       | Hard                                                                  |
| Suggested Time   | 45 Minutes                                                            |
| Mark Value       | 25 Marks                                                              |

**FACT PATTERN**

The Regional Municipality of Halton ('Halton') issued a Request for Proposals ('RFP') for the design and construction of a new water treatment facility. The RFP contained the following clauses:

[Clause 6]: 'All proposals must be submitted by firms that have demonstrated experience constructing a water treatment facility of comparable scale within the past ten years. Proposals from ineligible firms will not be considered.'

[Clause 14]: 'Halton reserves the right to accept or reject any proposal and is not obliged to accept the lowest or any proposal.'

[Clause 22]: 'No proponent shall have any claim for compensation of any kind arising from its participation in this RFP process, and by submitting a proposal each proponent is deemed to have waived any such claim.'

Four firms responded: AquaBuild Inc. ('AquaBuild'), ClearWater Construction ('ClearWater'), NovaCivil Ltd. ('Nova'), and Halton's own internal engineering team, WaterWorks Municipal ('WaterWorks'). WaterWorks was an internal municipal department — not an external construction firm.

Halton opened the proposals and discovered: AquaBuild submitted the lowest price (\$18.4 million) and met all specifications; ClearWater submitted a proposal at \$20.1 million and met all specifications; Nova submitted a proposal at \$17.2 million but its principal constructor (listed in the proposal) had only completed water treatment facilities five years ago — outside the ten-year window. WaterWorks submitted an internal proposal at \$16.8 million.

Halton's evaluation committee awarded the contract to WaterWorks (\$16.8 million), finding its proposal the 'best value for ratepayers.'

AquaBuild and ClearWater both retained legal counsel.

**YOUR TASK:**

1. (a) Advise AquaBuild and ClearWater on their respective legal positions against Halton. Apply the complete Contract A framework. (15 marks)
2. (b) Was Nova's bid compliant? Does this affect AquaBuild's or ClearWater's claims? (5 marks)
3. (c) Does Clause 22 (the exclusion of liability clause) bar AquaBuild's or ClearWater's claims? Apply the Tercon three-step test. (5 marks)

**EXAMINER'S GUIDE**

Issues: Contract A formation (Ron Engineering — call for tenders = invitation to treat; compliant bids = offers creating Contract A); WaterWorks' eligibility (Clause 6 — internal municipal department is not an 'external firm' — was WaterWorks eligible?); MJB implied term (owner must only accept compliant bids); privilege clause (Clause 14 — does not allow acceptance of non-compliant or ineligible bids); duty of fairness (Halton evaluated external bids against an internal proposal with no equal footing); Tercon exclusion clause (Clause 22) — Step 1: does 'participation in this RFP process' cover claims from accepting an ineligible bidder?

Cases MUST cite: Ron Engineering [1981] 1 SCR 111; MJB Enterprises [1999] 1 SCR 619; Tercon Contractors 2010 SCC 4; Bhasin v Hrynew 2014 SCC 71 (good faith in contract performance — optional but adds marks).

Time: (a) 27 min | (b) 9 min | (c) 9 min.

**MODEL ANSWER — QUESTION 1**

## Part (a) — AquaBuild and ClearWater's Claims (15 marks)

### ISSUE

The threshold issue is whether Contract A was formed between Halton and AquaBuild and ClearWater, what terms Contract A contains, and whether Halton breached Contract A by awarding the contract to WaterWorks.

### RULE

Ron Engineering [1981] 1 SCR 111: An owner's call for tenders is an INVITATION TO TREAT — not an offer. Each compliant tender submitted creates CONTRACT A — an irrevocable tendering contract — between the owner and the compliant bidder. MJB Enterprises [1999] 1 SCR 619: Contract A contains an IMPLIED MANDATORY TERM that the owner will only accept COMPLIANT bids. The privilege clause ('lowest or any tender need not be accepted') gives the owner discretion among compliant bids — it does NOT permit acceptance of a non-compliant or ineligible bid. Violation of this implied term = breach of Contract A with all compliant bidders. DUTY OF FAIRNESS: Contract A imposes a duty that all compliant bidders will be evaluated on the same criteria. Secret advantages, undisclosed evaluation changes, or evaluation against an internal comparator not subject to the same requirements breach this duty.

### APPLICATION — Contract A Formation

Because Halton issued the RFP and specified in Clause 6 that proposals must come from 'firms that have demonstrated experience constructing a water treatment facility of comparable scale within the past ten years,' the RFP was an invitation to treat under Ron Engineering.

Because AquaBuild submitted a proposal meeting all specifications (experience within ten years, full technical compliance, price \$18.4 million), Contract A was formed between Halton and AquaBuild at the moment of submission.

Because ClearWater similarly submitted a fully compliant proposal (\$20.1 million), Contract A was formed between Halton and ClearWater at the moment of submission.

### APPLICATION — Was WaterWorks an Eligible Bidder?

The critical question is whether WaterWorks — an internal municipal department, not an external construction firm — was eligible to participate in the RFP at all. Because Clause 6 specified that proposals must come from 'firms,' and WaterWorks is an internal municipal department rather than an independent firm capable of contracting with Halton on commercial terms, WaterWorks was not an eligible proponent under the RFP's plain terms.

By accepting WaterWorks' internal proposal as a bid in the competitive process, Halton did something analogous to what the Province did in Tercon — it considered and awarded to a party that was not eligible to participate in the RFP process as an external firm. This breached the implied term of Contract A that only compliant bids from eligible proponents would be considered.

### APPLICATION — Does Clause 14 (Privilege Clause) Protect Halton?

Clause 14 gives Halton the right to 'accept or reject any proposal.' Under MJB Enterprises, this type of privilege clause preserves discretion among COMPLIANT bids from ELIGIBLE bidders — it does not give the owner unlimited discretion to accept a bid from an ineligible party.

Because WaterWorks was not an eligible external firm under Clause 6, accepting WaterWorks' internal proposal over the compliant external bids was outside the scope of the privilege clause.

Clause 14 cannot authorize acceptance of an ineligible bid any more than the equivalent clause could in MJB.

### APPLICATION — Breach of Contract A and Duty of Fairness

Because Halton awarded the contract to WaterWorks — an ineligible party — in preference to the compliant external bids from AquaBuild and ClearWater, Halton breached: (a) the implied term of

Contract A that only eligible and compliant bids would be considered (MJB Enterprises); and (b) the duty of fairness owed to all compliant bidders — Halton evaluated external commercial bids against an internal proposal that did not face the same commercial and procurement constraints.

AquaBuild's damages: reliance loss (costs of preparing the \$18.4 million proposal) and, more significantly, expectation loss — the profit AquaBuild would have earned if Contract B had been awarded to it as the lowest compliant eligible bidder.

ClearWater's damages: reliance loss (proposal preparation costs). ClearWater's expectation loss claim is weaker — even if WaterWorks' bid were disqualified, AquaBuild (\$18.4 million) was lower than ClearWater (\$20.1 million), so Halton would likely have awarded to AquaBuild rather than ClearWater. ClearWater's claim is primarily in reliance.

### CONCLUSION

Contract A was formed between Halton and both AquaBuild and ClearWater upon submission of their compliant proposals. Halton breached Contract A with both compliant bidders by awarding to WaterWorks — an ineligible internal department not qualifying as a 'firm' under Clause 6. The privilege clause (Clause 14) does not authorize acceptance of an ineligible bidder under MJB Enterprises. AquaBuild is entitled to both reliance damages (proposal costs) and expectation damages (profit on the contract). ClearWater is entitled to reliance damages; its expectation loss claim is limited because AquaBuild was the lowest eligible bid.

## Part (b) — Nova's Bid and Its Effect (5 marks)

### ISSUE

The issue is whether Nova's proposal was compliant with Clause 6, and whether Nova's non-compliance affects AquaBuild's or ClearWater's claims.

### APPLICATION — Nova's Compliance

Because Nova's principal constructor completed its only comparable water treatment facility five years ago — and Clause 6 requires experience 'within the past ten years' — Nova's proposal was NON-COMPLIANT. Nova did not demonstrate relevant experience within the prescribed period.

Because Nova's proposal was non-compliant, Nova did NOT create a Contract A with Halton. Nova has no claim against Halton.

Nova's non-compliance does not affect AquaBuild's or ClearWater's claims — their Contract A rights are independent. However, it is relevant to the damages calculation: because AquaBuild (at \$18.4 million) and ClearWater (at \$20.1 million) were the only two eligible and compliant bids, AquaBuild should have been awarded Contract B as the lowest eligible compliant bidder. Disregarding Nova's non-compliant bid strengthens AquaBuild's claim that it was the rightful Contract B recipient.

### CONCLUSION

Nova's bid was non-compliant under Clause 6 — experience outside the ten-year window. Nova has no Contract A claim. The non-compliance is relevant to AquaBuild's expectation damages — confirming AquaBuild was the lowest eligible compliant bid and the rightful Contract B recipient.

## Part (c) — Clause 22 Exclusion — Tercon Three-Step (5 marks)

### ISSUE

The issue is whether Clause 22 — which excludes 'any claim for compensation of any kind arising from participation in this RFP process' — bars AquaBuild's and ClearWater's claims.

### RULE

Tercon Contractors 2010 SCC 4 — three-step test: (1) Does the clause, on its proper interpretation, apply to this breach? (2) Was it unconscionable at formation? (3) Should the court decline enforcement on public policy grounds?

#### APPLICATION — Applying Tercon — Step 1: Interpretation

Clause 22 excludes claims 'arising from participation in this RFP process.' AquaBuild's and ClearWater's claims arise not from their participation in the RFP, but from Halton accepting the proposal of a party that was NOT eligible to participate in the RFP as an external firm.

As the majority in Tercon reasoned regarding the Province accepting an ineligible joint venture: the exclusion clause covered claims from participating — it did NOT cover claims from Halton's decision to accept an ineligible internal department's proposal. The breach is not about AquaBuild's or ClearWater's participation but about Halton's dealings with an ineligible party.

Applying contra proferentem: because Clause 22 was drafted by Halton, any ambiguity is resolved against Halton. A clause that excludes 'participation in the RFP' does not unambiguously cover claims arising from Halton's conduct with an ineligible participant.

CONCLUSION ON STEP 1: Clause 22 does not apply to AquaBuild's and ClearWater's claims on its proper interpretation. End of analysis — the clause provides no protection.

#### CONCLUSION

Clause 22 does NOT bar AquaBuild's or ClearWater's claims. Applying Tercon Step 1: the clause covers claims arising from participation in the RFP process — not claims arising from Halton awarding to an ineligible party. The clause is not broad enough to capture this breach, and any ambiguity is resolved against Halton (contra proferentem). Steps 2 and 3 are not reached.

## QUESTION 2 OF 12

|                  |                                                                                 |
|------------------|---------------------------------------------------------------------------------|
| Primary Topic    | Pre-Existing Duty + Privity + Frustration                                       |
| Secondary Topics | Gilbert Steel; Stilk; London Drugs; Davis Contractors; Frustrated Contracts Act |
| Difficulty       | Hard                                                                            |
| Suggested Time   | 45 Minutes                                                                      |
| Mark Value       | 25 Marks                                                                        |

#### FACT PATTERN

Pinnacle Events Inc. ('Pinnacle') contracted with Meridian Audio-Visual Ltd. ('Meridian') to provide complete audio-visual production services for a three-day corporate conference in Toronto scheduled for October 14-16. The contract price was \$85,000. Meridian was specifically engaged because its technical director, Sofia Crane, was renowned in the industry for her expertise in large-scale live event production.

Three weeks before the event, Meridian's warehouse suffered a partial fire. Most of the specialized equipment survived, but two proprietary lighting rigs essential to Pinnacle's planned keynote presentation were destroyed. Meridian informed Pinnacle that it could still provide all other contracted services but would need to rent replacement lighting equipment from a third party at an extra cost of \$12,000. The parties met and Pinnacle's CEO stated: 'We need this conference to happen. Do what you have to do.' Meridian ordered the replacement rigs.

Five days before the conference, the City of Toronto issued an emergency building safety order

closing the venue (the Meridian Grand Convention Centre) due to a structural defect discovered during routine inspections. The venue could not be used for at least three months. No alternative venue was available in Toronto within the required timeframe that could accommodate 800 delegates.

Pinnacle now refuses to pay Meridian anything, arguing: (1) the \$12,000 modification is unenforceable for lack of consideration; (2) Meridian's obligation ceased when the venue closed. Meridian argues it is owed \$85,000 (or at minimum \$73,000 for the non-lighting services it was ready to perform).

Pinnacle had separately promised a \$5,000 'excellence bonus' to Sofia Crane personally if the conference received a customer satisfaction rating above 90%. Sofia had, in anticipation of this bonus, turned down a freelance contract paying \$4,500.

### YOUR TASK:

4. (a) Is the \$12,000 modification enforceable? Apply the pre-existing duty rule and consider both the Canadian and English positions. (8 marks)
5. (b) Was the contract between Pinnacle and Meridian frustrated by the venue closure? What are the consequences? (10 marks)
6. (c) What are Sofia Crane's legal rights in respect of the \$5,000 excellence bonus? (7 marks)

### EXAMINER'S GUIDE

Issues: (a) Pre-existing duty (Stilk; Gilbert Steel — Canadian authority) vs Williams v Roffey practical benefit (English — uncertain in Canada). Argue both. The warehouse fire and replacement equipment may constitute NEW performance (a different obligation — renting rather than supplying owned equipment). (b) Davis Contractors — venue closure by government order makes the conference impossible to perform. This is NOT merely more expensive — the specific venue was central; no alternative available; government/force majeure event. Frustrated Contracts Act s.3(2) (Pinnacle's advances?), s.3(3) (Meridian's preparatory work). (c) Sofia as third party — privity; London Drugs (employee exception — two conditions). Promissory estoppel? Hedley Byrne reliance? Pinnacle owes Sofia nothing on the contract (no performance). But Sofia's reliance on the promise (turned down \$4,500) — negligent misrepresentation?

Cases MUST cite: Stilk v Myrick; Gilbert Steel (ONCA); Williams v Roffey (UK); Davis Contractors [1956]; Frustrated Contracts Act ss.3(2), 3(3); London Drugs 1992 SCC; Dunlop v Selfridge.

## MODEL ANSWER — QUESTION 2

### Part (a) — The \$12,000 Modification (8 marks)

#### ISSUE

The issue is whether Pinnacle's agreement to pay an additional \$12,000 for replacement lighting equipment is enforceable as a valid modification of the original \$85,000 contract.

#### RULE

THE PRE-EXISTING DUTY RULE: Performance of an obligation already owed under an existing contract cannot constitute consideration for a new promise — Stilk v Myrick [1809]; Gilbert Steel Ltd v University Construction Ltd (1976) ONCA. In Canada, Gilbert Steel is the leading authority — a contract modification without fresh consideration is unenforceable. WILLIAMS v ROFFEY BROS [1991] (UK): A practical benefit to the promisor can constitute consideration for a modification, even where the promisee performs only its existing duty. This has NOT been uniformly adopted in Canada — Gilbert Steel remains the ONCA authority on contract modification.

**APPLICATION — Was There Fresh Consideration?**

Under the original contract, Meridian was obligated to supply audio-visual production services including the lighting rigs — using its own equipment. The question is whether procuring THIRD-PARTY replacement equipment constitutes a NEW obligation beyond the original duty.

Because the original contract required Meridian to provide specific proprietary lighting rigs that it owned, and the replacement obligation requires Meridian to source and pay \$12,000 to rent third-party equipment it did not originally contemplate supplying, a strong argument exists that Meridian is providing something DIFFERENT from its original obligation — not merely repeating it. This distinguishes the situation from a pure pre-existing duty scenario (where the promisee promises to do exactly the same thing as before).

If a court accepts that renting replacement equipment from a third party at Meridian's own cost was a new and different obligation, then there IS fresh consideration for Pinnacle's promise to pay \$12,000 more.

**APPLICATION — The Gilbert Steel / Williams v Roffey Analysis**

IF THE COURT APPLIES GILBERT STEEL (traditional Canadian position): Meridian was already contractually obligated to deliver a complete audio-visual production. Sourcing the lighting from a different supplier rather than its own warehouse may not be a 'new' obligation — it is simply fulfilling the same contractual promise by different means. Under Gilbert Steel, Meridian provided no fresh consideration. The modification is unenforceable.

IF THE COURT CONSIDERS WILLIAMS v ROFFEY (practical benefit, uncertain in Canada): Pinnacle obtained a practical benefit from Meridian's agreement to source replacement equipment — it avoided cancellation of the conference entirely. Cancellation would have caused Pinnacle significant losses (delegate costs, reputational harm, alternative booking fees). This practical benefit could constitute consideration for the \$12,000 modification promise. However, Williams v Roffey is English law and a Canadian court may not follow it.

CEO's statement — 'We need this conference to happen, do what you have to do': This language suggests Pinnacle was acknowledging Meridian's new obligation to source external equipment. It arguably supports the fresh consideration argument — Pinnacle was asking Meridian to do something more than what the original contract required.

**CONCLUSION**

The enforceability of the \$12,000 modification turns on whether Meridian's obligation to source third-party replacement equipment constitutes fresh consideration. Under Gilbert Steel (Canada), if the renting is merely a different means of fulfilling the same obligation, no fresh consideration exists and the modification is unenforceable. The better argument, however, is that renting replacement equipment at Meridian's expense is a NEW obligation — distinguishable from Gilbert Steel — providing fresh consideration. Alternatively, under Williams v Roffey, Pinnacle received the practical benefit of preserving the conference (though this is uncertain Canadian law). The \$12,000 modification is likely enforceable on either basis.

**Part (b) — Frustration and the Frustrated Contracts Act (10 marks)****ISSUE**

The issue is whether the City of Toronto's emergency closure order frustrated the contract between Pinnacle and Meridian, and what the consequences are under the Frustrated Contracts Act.

**RULE**

Davis Contractors Ltd v Fareham UDC [1956] HL: Frustration occurs when, without default of either party, performance has become RADICALLY DIFFERENT from what was contracted for. Ontario Frustrated Contracts Act, RSO 1990, c. F.34: s.3(2) — prepayments recoverable; payment obligations that have not yet accrued cease to be due. s.3(3) — a party who conferred a valuable benefit before discharge may recover a 'just sum' for that benefit.

**APPLICATION — Is the Contract Frustrated?**

Because the City of Toronto issued an emergency building safety order closing the specific venue (Meridian Grand Convention Centre) five days before the conference — making the conference physically impossible to hold as contracted — the supervening event was not merely a cost increase but a total impossibility.

Because no alternative venue was available in Toronto within the required timeframe to accommodate 800 delegates, Meridian cannot perform the contracted services at a substitute location. The contract was for production services at a specific event in Toronto — without the venue, the event cannot occur.

Because the venue closure was ordered by the City following discovery of a structural defect — a government authority's emergency order — the supervening event was: (a) not the fault of either party; (b) not foreseeable as a specific risk at the time of contracting (a structural defect requiring three months of closure is not a normal event); and (c) not merely increasing the cost of performance — it made the conference itself impossible.

Applying Davis Contractors: the conference cannot take place in any form resembling what was contracted for. Performance is radically different — in fact, it is impossible. The contract is **FRUSTRATED** by the venue closure order.

**APPLICATION — Consequences — Frustrated Contracts Act**

S.3(2) — PREPAYMENTS: Because no advance payments appear to have been made by Pinnacle before the frustrating event (the conference had not yet occurred and payment terms are not specified as prepaid), s.3(2) may not significantly affect the financial position. However, if Pinnacle paid any deposit, it is recoverable.

S.3(3) — VALUABLE BENEFIT / MERIDIAN'S CLAIM: Because Meridian performed significant preparatory work before the venue closed — ordering, coordinating, and arranging the rental of replacement lighting equipment (\$12,000 cost); deploying technical staff; transporting equipment to the venue — Meridian conferred preparatory value in anticipation of the conference. Pinnacle did not receive the full benefit (the conference never happened) but Meridian did incur real expenditures.

The court may order Pinnacle to pay a 'just sum' for the value of Meridian's pre-frustration performance, assessed at what is fair having regard to: the actual expenditures Meridian incurred (\$12,000 replacement rigs + other deployment costs); the value of the benefit received by Pinnacle (none — the conference didn't happen — but Meridian's preparatory work had real value); the circumstances giving rise to frustration (government order, no fault). A fair just sum would likely compensate Meridian for its actual out-of-pocket expenditures in preparing for the conference — approximately the \$12,000 equipment rental plus other demonstrable costs.

**CONCLUSION**

The contract is **FRUSTRATED** by the venue closure. The City's emergency order made the conference impossible to hold — performance became radically different from what was contracted for under Davis Contractors. Neither party is in breach. Under the Frustrated Contracts Act: s.3(2): any prepayments by Pinnacle are recoverable. s.3(3): Meridian is entitled to a 'just sum' for its pre-frustration expenditures (equipment rental, staff deployment, equipment transport) — assessed at what is fair, likely equal to Meridian's demonstrable out-of-pocket costs. Pinnacle's refusal to pay anything (including Meridian's costs) is unjust.

**Part (c) — Sofia Crane's Rights (7 marks)****ISSUE**

The issues are: (1) whether Sofia Crane can enforce Pinnacle's promise of a \$5,000 bonus directly, as a third-party beneficiary or employee; and (2) whether Sofia has any claim for the \$4,500 she turned down in reliance on the promised bonus.

**RULE**

**PRIVITY** (*Dunlop v Selfridge* [1915]): Only parties to a contract can enforce it. Sofia was not party to the Pinnacle-Meridian contract. **LONDON DRUGS EXCEPTION** [1992] 3 SCR 299: Employees can invoke their employer's contractual exclusion clause if (a) the clause extends its benefit to employees, and (b) the employees were acting in the course of their employment performing the contracted service. **PROMISSORY ESTOPPEL**: Clear and unequivocal promise; reliance; inequitable to resile (*Burrows* [1968] SCR). **NEGLIGENT MISREPRESENTATION** (*Hedley Byrne*): Duty of care based on special relationship; untrue representation; negligence; reasonable reliance; loss.

#### **APPLICATION — Privity — Can Sofia Sue Directly?**

Because Sofia was not party to the Pinnacle-Meridian contract, she cannot enforce that contract under the privity rule (*Dunlop v Selfridge*). The bonus promise was between Pinnacle and Meridian. **LONDON DRUGS EXCEPTION**: Sofia might argue that as an employee of Meridian performing the exact contracted service (large-scale live event production), she can invoke the bonus clause in her employer's contract. However, *London Drugs* addresses exclusion clauses that benefit employees — a bonus provision is different: it extends a **BENEFIT** to an employee. Canadian courts have applied *London Drugs* narrowly to the exclusion clause context. Extending it to affirmative bonus promises is uncertain.

The better path for Sofia is not *London Drugs* but an independent cause of action.

#### **APPLICATION — Promissory Estoppel — Shield for Sofia?**

Pinnacle made a clear promise to Sofia (the \$5,000 bonus if satisfaction exceeded 90%). Sofia relied on this promise by declining a \$4,500 freelance contract. The reliance was reasonable — Pinnacle specifically promised Sofia the bonus.

However, promissory estoppel is traditionally a **SHIELD**, not a sword. Sofia would need an existing legal relationship with Pinnacle to use estoppel defensively. The bonus was a promise creating a potential obligation — Sofia is attempting to enforce the promise offensively. Under traditional Canadian law (*Combe v Combe*), this is impermissible.

**NOTE**: The conference was frustrated before it occurred — no satisfaction rating above 90% could be achieved. The condition precedent to the bonus (conference satisfaction rating above 90%) never materialized. Even if Sofia had a claim on the bonus promise, the condition was not satisfied — arguably the bonus was not yet owed.

#### **APPLICATION — Negligent Misrepresentation — Sofia's Best Claim**

Because Pinnacle specifically promised Sofia a \$5,000 bonus — a clear and specific representation that induced her to turn down \$4,500 of other work — and because Sofia's reliance was foreseeable to Pinnacle (it would be obvious that Sofia might decline other work in anticipation of the bonus), a negligent misrepresentation claim is available IF Pinnacle had no reasonable basis for the bonus promise or made it carelessly.

If Pinnacle was genuinely able and intending to pay the bonus when made, no negligent misrepresentation arises — the conference was frustrated through no one's fault. Sofia's loss is a consequence of the frustrated event.

Sofia's damages: her reliance loss = the \$4,500 freelance opportunity turned down. This is her wasted expenditure caused by reasonable reliance on Pinnacle's promise. Whether this is recoverable depends on whether Pinnacle's promise was made negligently or whether this was simply a case where a genuinely intended bonus promise became impossible due to frustration.

#### **CONCLUSION**

Sofia Crane cannot enforce the bonus promise under the Pinnacle-Meridian contract directly — privity prevents it (*Dunlop v Selfridge*). *London Drugs* does not clearly extend to affirmative bonus obligations. Promissory estoppel is unavailable as a sword. Sofia's best claim is for her reliance loss (\$4,500 forgone freelance work) based on negligent misrepresentation IF Pinnacle made the bonus promise carelessly. However, given that the contract's non-performance resulted from frustration (not Pinnacle's fault), Sofia's claim against Pinnacle is weak. Her loss is an unfortunate consequence of a frustrated event.

**QUESTION 3 OF 12**

|                         |                                                                                               |
|-------------------------|-----------------------------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Frustration — Three Sub-Parts (Davis Test, Supervening Illegality, Restitution)               |
| <b>Secondary Topics</b> | Davis Contractors; Taylor v Caldwell; Krell v Henry; Frustrated Contracts Act; quantum meruit |
| <b>Difficulty</b>       | Very Hard                                                                                     |
| <b>Suggested Time</b>   | 54 Minutes                                                                                    |
| <b>Mark Value</b>       | 30 Marks                                                                                      |

**FACT PATTERN**

**BACKGROUND:** Glacier Bay Marine Inc. ('Glacier') owned a specialized research vessel, the M/V Arctic Explorer. Northstar Scientific Corp. ('Northstar') contracted with Glacier to charter the M/V Arctic Explorer for a twelve-month scientific research expedition in Arctic waters, beginning June 1. The contract price was \$2.4 million, payable in monthly instalments of \$200,000. Northstar paid the first two monthly instalments (\$400,000) before the expedition began.

**FACTS FOR PART A:** Three months into the expedition, a catastrophic mechanical failure in the vessel's propulsion system — caused by an unforeseeable manufacturing defect in the shaft couplings — made the Arctic Explorer permanently inoperable. Glacier had the vessel properly maintained and the defect was not discoverable through reasonable inspection. The Arctic Explorer sank four days later. Northstar argues the contract is frustrated. Glacier argues the contract required Northstar to pay for the months of use it actually received.

**FACTS FOR PART B:** Assume instead that the original contract was for a twelve-month expedition, but one month before the expedition was to begin, the Canadian government enacted emergency legislation prohibiting commercial vessel access to the specific Arctic research zone (citing environmental protection concerns). The legislation permits purely governmental scientific expeditions in the zone. Northstar's research could not be conducted elsewhere. Glacier proposes to charter the vessel for governmental research voyages instead. Northstar refuses, arguing the contract is frustrated.

**FACTS FOR PART C:** Using the Part B scenario (the legislative prohibition). Assume that Glacier, in anticipation of the expedition, had the vessel retrofitted with specialized Arctic research equipment at a cost of \$180,000. This equipment is permanently affixed and has no alternative use. Northstar had paid a \$200,000 advance. Glacier has received no other compensation. The legislation is expected to remain in force for at least five years.

**YOUR TASK:**

- (a) Was the contract frustrated by the propulsion failure and sinking of the M/V Arctic Explorer? What does Northstar owe for the three months of use it received? (10 marks)
- (b) Was the contract frustrated by the legislative prohibition? Analyze carefully — consider whether the contract's purpose is completely defeated. (10 marks)
- (c) Applying the Frustrated Contracts Act to the Part B scenario: what is the financial outcome between the parties, taking into account the \$200,000 advance payment and Glacier's \$180,000 equipment expenditure? (10 marks)

**EXAMINER'S GUIDE**

Part (a): Yes — destroyed subject matter = frustrated (Taylor v Caldwell). Not self-induced (manufacturing defect). BUT: Northstar received three months of use. Frustrated Contracts Act s.3(3) — Northstar has received a valuable benefit (three months of Arctic research); court may require payment for that benefit. The three months' value = three monthly instalments paid OR the pro-rated value of the charter. Balance: Northstar paid \$400,000 already; owes for three months total use (three × \$200,000 = \$600,000); Glacier gets \$600,000 total (keeping the \$400,000 paid + \$200,000 more as the just sum for benefit received).

Part (b): Government prohibition makes the SPECIFIC research zone inaccessible. Glacier's proposal to use the vessel for governmental research voyages changes the PURPOSE entirely — Northstar contracted for Arctic research, not governmental voyages. This is distinguishable from Herne Bay (where the boat could still be used for cruises). Northstar's entire purpose is defeated — frustration applies (Krell v Henry).

Part (c): FCA s.3(2): \$200,000 advance is recoverable. s.3(3): Glacier conferred a valuable benefit? The \$180,000 equipment is permanently affixed — it has no alternative use and benefits no one (the law prevents any use). Just sum for Glacier's equipment expenditure: court must weigh that Northstar received no benefit from the equipment; Glacier's expense was in anticipation of the contract; government force majeure reduced the equipment's value to near zero. A fair outcome likely allows Glacier some recovery for the equipment cost but less than \$180,000.

Cases MUST cite: Davis Contractors [1956]; Taylor v Caldwell [1863]; Krell v Henry [1903]; Herne Bay Steam Boat v Hutton [1903]; Frustrated Contracts Act ss.3(2), 3(3).

**MODEL ANSWER — QUESTION 3****Part (a) — Propulsion Failure and Sinking (10 marks)****ISSUE**

The issues are: (1) whether the destruction of the M/V Arctic Explorer frustrated the charter contract; and (2) what Northstar owes for the three months of use it received before the vessel sank.

**RULE**

Davis Contractors [1956]: Frustration occurs when performance becomes RADICALLY DIFFERENT from what was contracted for. Taylor v Caldwell [1863]: Destruction of the specific subject matter essential to performance frustrates the contract — the parties contracted on an implied condition that the subject matter would continue to exist. Frustrated Contracts Act s.3(3): a court may order payment of a just sum where a party received a valuable benefit before discharge.

**APPLICATION — Is the Contract Frustrated?**

Because the M/V Arctic Explorer was the specific subject matter of the charter — Northstar contracted for the use of this particular vessel, not any research vessel — the contract was premised on the vessel's continued existence, analogous to Taylor v Caldwell's music hall.

Because the propulsion failure was caused by an unforeseeable manufacturing defect not detectable through reasonable inspection, and the vessel's subsequent sinking was a direct consequence of that defect, neither party caused the frustrating event. This is not a self-induced frustration.

Because the vessel sank permanently — it cannot be repaired or replaced for the purposes of this contract — performance of the original contract is impossible. The charter of the Arctic Explorer (specifically) for twelve months can never be completed. Performance is radically different from what was contracted for: it cannot be performed at all for the remaining nine months.

The contract is FRUSTRATED at the moment the vessel became permanently inoperable.

**APPLICATION — What Does Northstar Owe for Three Months of Use?**

Although the contract is frustrated going forward, Northstar received THREE MONTHS of the contracted twelve-month Arctic research expedition. This was a valuable benefit — three months of access to a specialized research vessel in Arctic waters, for which Northstar paid \$400,000 (two monthly instalments) and has effectively received three months' worth of use.

Under s.3(3) of the Frustrated Contracts Act, the court may order Northstar to pay a 'just sum' for the valuable benefit it received from Glacier's performance before the frustrating event. The three months of vessel use was worth \$600,000 under the contract pricing (\$200,000/month × 3). Northstar has already paid \$400,000 of this.

Just sum analysis: Northstar received the full benefit of three months' research expedition use. The frustrating event did not reduce the value of that completed performance — the first three months were completed as contracted. The court would likely find the just sum = \$600,000 (three months at the contract rate) minus \$400,000 already paid = \$200,000 still owed by Northstar for the third month of use actually received.

**CONCLUSION**

The charter contract IS frustrated by the sinking of the M/V Arctic Explorer. The vessel was the specific essential subject matter (Taylor v Caldwell); its destruction makes further performance impossible; the defect was not the fault of either party. Northstar's future monthly obligations (\$200,000/month for the remaining nine months) are extinguished by frustration. However, Northstar received three months of use — a valuable benefit worth \$600,000 at the contract rate. Northstar has paid \$400,000. Under s.3(3) of the Frustrated Contracts Act, Northstar owes a just sum of approximately \$200,000 for the additional month of use received beyond the two months it has paid for.

**Part (b) — Legislative Prohibition (10 marks)****ISSUE**

The issue is whether the government's prohibition on commercial vessel access to the specific Arctic research zone frustrated the charter contract between Northstar and Glacier.

**RULE**

Davis Contractors: frustration requires the performance to be RADICALLY DIFFERENT from what was contracted for. Krell v Henry [1903]: Where the SOLE PURPOSE of the contract has been defeated by a supervening event, the contract is frustrated — even if physical performance is theoretically possible. Herne Bay Steam Boat v Hutton [1903]: Where multiple purposes existed and only one is defeated, the contract is NOT frustrated. Supervening illegality (government prohibition making the contracted performance illegal) is a recognized category of frustrating event.

**APPLICATION — The Legislative Prohibition — Does It Frustrate?**

Because the legislation prohibits commercial vessel access to the specific Arctic research zone where Northstar's research was to be conducted, Northstar cannot conduct its research in the contracted location. The research could not be conducted elsewhere.

The critical question is whether the contract's purpose is entirely defeated — Krell v Henry — or whether other uses of the vessel remain, making this more like Herne Bay.

GLACIER'S ARGUMENT: The vessel is still fully functional. Glacier can still provide the vessel for other purposes — including governmental scientific voyages in the same zone. The contract is for a vessel charter, not for a specific type of research. Under Herne Bay, the availability of other uses prevents frustration.

NORTHSTAR'S ARGUMENT (stronger): Northstar contracted specifically for Arctic research in that zone. The entire purpose of the contract — as both parties knew — was to conduct Northstar's proprietary scientific research in the specified Arctic region. That purpose is entirely and permanently defeated. The government's proposal for 'governmental research voyages' is not Northstar's research

— Northstar has no interest in providing a vessel for someone else's research. This is analogous to *Krell v Henry*: the room was hired for the coronation procession specifically; the continued existence of the room for other purposes did not prevent frustration.

**DISTINGUISHING HERNE BAY:** In *Herne Bay*, the boat could still be used for general cruises — the charterer could obtain substantial value from the vessel beyond the specific cancelled event. Here, Northstar derives zero value from a governmental research voyage — that is not what Northstar contracted for and serves Northstar's interests not at all.

### CONCLUSION

The contract IS frustrated by the legislative prohibition. Applying *Krell v Henry*: the SOLE purpose of the charter — Northstar's proprietary Arctic research in the prohibited zone — is entirely and permanently defeated. Unlike *Herne Bay*, Glacier's proposed alternative (governmental voyages) provides Northstar with no value whatsoever and is not within the scope of what Northstar contracted for. The government prohibition amounts to supervening illegality for the contracted use (commercial research access to the zone is now prohibited) — a recognized category of frustrating event under *Davis Contractors*.

## Part (c) — Frustrated Contracts Act: Financial Consequences (10 marks)

### ISSUE

The issues are: (1) the treatment of Northstar's \$200,000 advance payment under s.3(2); and (2) whether Glacier is entitled to a 'just sum' for the \$180,000 specialized equipment under s.3(3).

### RULE

Frustrated Contracts Act s.3(2): Money paid before discharge is prima facie recoverable; money payable before discharge but not yet paid ceases to be payable. s.3(3): Where a party has conferred a VALUABLE BENEFIT on the other before discharge, the court may order payment of a 'just sum' not exceeding the value of that benefit. The court considers: the effect of the frustrating circumstances on the value of the benefit; any money already paid; pre-frustration expenses of the benefiting party.

### APPLICATION — S.3(2) — Northstar's \$200,000 Advance

Because Northstar paid \$200,000 as an advance payment before the contract was discharged by the legislative prohibition, this amount is prima facie recoverable under s.3(2). The money was paid before discharge; the contractual purpose was not fulfilled; Northstar is entitled to return of the advance.

**SUBJECT TO S.3(3) ADJUSTMENT:** The court's determination of the just sum under s.3(3) may affect how much of the \$200,000 Northstar actually recovers — if Glacier is awarded a just sum for its equipment expenditure, the court may apply it against Northstar's right to the \$200,000.

### APPLICATION — S.3(3) — Glacier's \$180,000 Equipment Expenditure

Glacier had the vessel retrofitted with \$180,000 of specialized Arctic research equipment before the legislative prohibition was announced. This equipment is permanently affixed and has no alternative use.

**THREE-PART ANALYSIS UNDER S.3(3):**

(1) **DID GLACIER CONFER A VALUABLE BENEFIT ON NORTHSTAR?** The equipment was installed in anticipation of Northstar's research expedition. Northstar never used the vessel or the equipment — the contract was frustrated before the expedition began. Northstar received NO benefit from the equipment.

(2) **EFFECT OF FRUSTRATING CIRCUMSTANCES ON VALUE:** The legislation makes the Arctic research zone inaccessible to commercial vessels indefinitely. The specialized equipment, permanently affixed to the vessel and designed for the prohibited research, is essentially worthless — it cannot be used for governmental voyages (different research); it cannot be removed economically; it

has no other commercial application.

(3) **MONEY ALREADY PAID:** Northstar paid \$200,000. Glacier has received \$200,000 and incurred \$180,000 in equipment costs — net of \$20,000 received above costs so far.

**JUST SUM DETERMINATION:** Because Northstar received NO benefit from the equipment (the contract was frustrated before any expedition began), and the Act requires the just sum to reflect the value of the benefit received (not merely Glacier's expenditure), the court cannot award Glacier the full \$180,000 — there is no corresponding benefit to Northstar. However, because the legislation was enacted by a government force majeure event — through no fault of either party — the court may consider equity between the parties. A just sum of approximately \$80,000-\$100,000 (partial compensation for Glacier's futile expenditure, balanced against the principle that the just sum cannot exceed the value of the benefit received by Northstar) might represent a fair outcome.

#### **APPLICATION — Net Financial Outcome**

S.3(2): Northstar is entitled to recover the \$200,000 advance — money paid before discharge.

S.3(3): Glacier may claim a just sum for the equipment expenditure. Given that Northstar received NO benefit from the equipment, the just sum is not the full \$180,000 but reflects equitable compensation for Glacier's futile pre-frustration expenditure incurred at Northstar's implicit request (the equipment was fitted for the contracted expedition). A court might award a just sum of approximately \$90,000 — recognizing the futility of the expenditure while acknowledging Northstar received no benefit.

**NET RESULT:** Northstar recovers \$200,000 (advance) — \$90,000 (just sum owed to Glacier for equipment) = Northstar receives net \$110,000 back from Glacier. Alternatively, the court may set off the amounts and require Glacier to return \$110,000 to Northstar of the \$200,000 advance.

#### **CONCLUSION**

Under the Frustrated Contracts Act: s.3(2): Northstar's \$200,000 advance is recoverable — it was paid before discharge and no benefit was received. s.3(3): Glacier is entitled to a just sum for its \$180,000 equipment expenditure. Because Northstar received NO benefit from the equipment (the contract was frustrated before the expedition began) and the equipment is worthless, the just sum is substantially less than \$180,000 — approximately \$80,000-\$100,000 reflecting equitable compensation for Glacier's futile expenditure without exceeding the nil value of the benefit to Northstar. Net: Northstar recovers approximately \$100,000-\$120,000 of its advance from Glacier.

## **QUESTION 4 OF 12**

|                         |                                                                                               |
|-------------------------|-----------------------------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Representations vs Terms + Misrepresentation + Deposit Recovery                               |
| <b>Secondary Topics</b> | Heilbut Symons; Dick Bentley; misrepresentation types; rescission bars; condition vs warranty |
| <b>Difficulty</b>       | Hard                                                                                          |
| <b>Suggested Time</b>   | 36 Minutes                                                                                    |
| <b>Mark Value</b>       | 20 Marks                                                                                      |

#### **FACT PATTERN**

Elena Vasquez visited Prestige Homes Inc. ('Prestige'), a residential developer, to view a new condominium unit in Burlington, Ontario. During the visit, Prestige's sales agent, Marcus Webb, made the following representations:

(i) 'This building has the best soundproofing of any condominium in Burlington. You won't hear a thing from your neighbours.' (Marcus had recently received complaints from existing residents about noise

transmission between units but did not mention this.)

(ii) 'The underground parking is heated and secured with a fob system — it's included in your purchase price.' (Marcus had not checked whether the heated parking applied to the specific unit Elena was purchasing — in fact, only units on floors 4 and above received heated parking as standard. Elena's unit was on floor 2.)

(iii) 'The rooftop garden and pool are expected to open by the time you move in.' (At the time of this statement, the rooftop amenities had been delayed and Prestige knew the opening date was uncertain — likely 8-12 months after the scheduled possession date.)

Elena signed a standard-form agreement of purchase and sale ('APS') for the unit at a price of \$625,000. She paid a \$62,500 deposit (10%). The APS included an entire agreement clause stating: 'This Agreement constitutes the entire agreement between the parties and supersedes all prior representations, warranties, and understandings.'

When Elena took possession six months later, she discovered: (i) significant noise transmission from the unit above; (ii) her underground parking was not heated (she was on floor 2); and (iii) the rooftop amenities had not opened and Prestige estimated another 10-12 months before opening.

Elena wants to rescind the contract and recover her \$62,500 deposit.

#### YOUR TASK:

10. (a) For each of Marcus's three statements, analyze whether it constitutes a term of the contract or a mere representation. If a representation, classify the type of misrepresentation and state the available remedies. (14 marks)
11. (b) Does the entire agreement clause bar Elena's claims? (6 marks)

#### EXAMINER'S GUIDE

Issues: (a) Statement (i) — the soundproofing claim while Marcus knew about noise complaints: this is at minimum negligent misrepresentation (Hedley Byrne/Queen v Cognos — Prestige's agent, special knowledge, Elena's reliance) and arguably fraudulent (reckless as to truth while knowing the opposite). Not a term (no guarantee language). Statement (ii) — heated parking: this is much more likely a TERM (specific factual promise about what is included in the purchase price; Dick Bentley — dealer/agent with special knowledge; directly induced Elena's decision). Misrepresentation of fact (false statement of what the purchase included). Statement (iii) — rooftop amenities: future representation ('expected to open') — generally representations as to the future are not misrepresentations. But: Prestige KNEW the timeline was uncertain. A statement of present intention/expectation made while knowing the opposite = misrepresentation of present fact. (b) Entire agreement clause — bars contractual claims for collateral warranties but does NOT bar misrepresentation claims (Bhasin; general principle that misrepresentation operates pre-contractually).

Cases MUST cite: Heilbut Symons [1913]; Dick Bentley [1965]; Derry v Peek [1889] (fraudulent); Hedley Byrne / Queen v Cognos (negligent); entire agreement clause limits (misrepresentation not barred).

## MODEL ANSWER — QUESTION 4

### Part (a) — Analyzing Marcus's Three Statements (14 marks)

## Statement (i) — Soundproofing Claim

### ISSUE

The issue is whether Marcus's statement that Elena 'won't hear a thing from neighbours' was a contractual term or a misrepresentation, and what Marcus's knowledge of existing noise complaints means for the classification.

### APPLICATION — Representation vs Term Analysis

Applying Heilbut Symons: the presumption is against finding a collateral warranty. The statement 'you won't hear a thing from your neighbours' is characteristically a promotional sales statement — the kind of hyperbolic claim that buyers expect from sales agents rather than a specific contractual guarantee.

Applying Dick Bentley: Marcus (as Prestige's sales agent) has special knowledge about the building that Elena lacks. However, even with special knowledge, the statement is an absolute claim ('won't hear a thing') that is difficult to frame as a specific contractual promise rather than promotional puffery.

CLASSIFICATION: The statement is most likely a REPRESENTATION, not a term. The APS, as a standard-form written agreement, would normally contain any specific soundproofing guarantees — absent such a clause, the oral statement remains a representation.

### APPLICATION — Type of Misrepresentation

CRUCIAL FACT: Marcus had recently received complaints from existing residents about noise transmission. He knew the soundproofing claim was likely false when he made it.

FRAUDULENT MISREPRESENTATION (Derry v Peek): A statement is fraudulent if made knowing it is false, believing it may be false, or recklessly as to its truth. Because Marcus knew of existing noise complaints and made a categorical statement that Elena 'won't hear a thing' — without mentioning the complaints — this constitutes a FRAUDULENT MISREPRESENTATION: Marcus either knew the statement was false (complaints already received) or was reckless as to whether it was true.

Alternatively: NEGLIGENT MISREPRESENTATION under the Hedley Byrne / Queen v Cognos framework — Marcus as Prestige's agent had special knowledge about the building, Elena reasonably relied on his assessment, and he failed to disclose material information he had a duty to take reasonable care about.

REMEDIES: Fraudulent misrepresentation → rescission AND all direct loss (tort of deceit — no foreseeability limit, Doyle v Olby). Negligent misrepresentation → rescission AND foreseeable loss in tort. Elena can claim rescission of the entire APS.

## Statement (ii) — Heated Parking

### ISSUE

The issue is whether Marcus's statement that heated parking was 'included in your purchase price' was a contractual term (breach of contract) or a misrepresentation.

### APPLICATION — Representation vs Term — Heated Parking

Unlike the soundproofing statement (a quality claim), the heated parking statement is a specific factual claim about WHAT IS INCLUDED in the purchase price — a matter that goes directly to the content of the bargain.

Applying Dick Bentley: Marcus was Prestige's agent with specific knowledge of which units received heated parking. The statement was specific ('it's included in your purchase price') and directly related to what Elena was buying. Special knowledge + specific contractual content + direct inducement to sign = this statement is more likely a TERM.

Applying Heilbut Symons: the burden of proving a collateral warranty lies with Elena, but the specificity of the statement ('included in your purchase price') combined with the direct commercial context supports a contractual term classification.

CLASSIFICATION: The statement that heated parking was 'included in your purchase price' is most

likely a TERM of the contract — or at minimum an enforceable collateral contract (consideration: Elena's entry into the APS). Its falsity is a BREACH OF CONTRACT (and/or actionable misrepresentation).

REMEDIES AS BREACH OF CONTRACT: Elena is entitled to expectation damages — the cost differential between a unit with heated parking and without, or the cost of alternative heated parking arrangements. She may also seek rescission if the court treats this as a condition (fundamental term).

REMEDIES AS MISREPRESENTATION: If treated as a representation, the false statement of fact (heated parking included) induced Elena's decision. At minimum this is negligent misrepresentation (Marcus did not verify before making the statement). Remedies: rescission + damages.

## Statement (iii) — Rooftop Amenities

### ISSUE

The issue is whether Marcus's statement that the rooftop amenities were 'expected to open by the time you move in' — made while Prestige knew the opening was likely 8-12 months after the possession date — was an actionable misrepresentation.

### APPLICATION — Future Representations and Present State of Mind

As a general rule, representations as to future events ('the amenities will open') cannot be misrepresentations — the future is uncertain and cannot be factually false when stated.

HOWEVER: A statement of present INTENTION or EXPECTATION is a representation of present fact. 'I expect the amenities will open' represents, as a present fact, that the speaker honestly holds that expectation. If the speaker does NOT in fact hold that expectation — if they know the timeline is uncertain or unlikely — then the statement of expectation is a misrepresentation of their PRESENT STATE OF MIND.

Because Prestige KNEW at the time of Marcus's statement that the rooftop amenities were likely to open 8-12 months after Elena's possession date — and did not share this with Elena — Marcus's statement that they were 'expected to open by the time you move in' was a misrepresentation of Prestige's present state of mind. Prestige did not genuinely expect this to happen by possession.

CLASSIFICATION: Innocent or negligent misrepresentation. The statement was a misrepresentation of present expectation made while Prestige knew the truth was otherwise. This is at minimum NEGLIGENT (Prestige's agent failed to accurately represent what Prestige knew). Remedies: rescission (though the entire agreement clause complicates this) and damages.

### CONCLUSION

Statement (i) — Fraudulent or negligent misrepresentation: Marcus knew of noise complaints and made a categorical false statement. Remedies: rescission + all direct loss (fraudulent) or foreseeable loss (negligent). Statement (ii) — Breach of contract (term) or misrepresentation: Marcus made a specific false claim about what was included in the purchase price. Remedies: expectation damages for the breach + right to rescind if condition. Statement (iii) — Negligent misrepresentation as to present state of mind: Prestige did not genuinely expect the amenities to open by possession. Remedies: rescission + foreseeable damages.

## Part (b) — The Entire Agreement Clause (6 marks)

### ISSUE

The issue is whether the entire agreement clause in the APS bars Elena's claims based on Marcus's pre-contractual statements.

### RULE

An ENTIRE AGREEMENT CLAUSE purports to prevent reliance on any prior representations, warranties, or understandings not included in the written contract. It is effective to bar COLLATERAL

CONTRACT claims and to prevent oral statements from being incorporated as contractual terms. HOWEVER: An entire agreement clause does NOT bar MISREPRESENTATION claims. A false statement that induced the contract is actionable regardless of any entire agreement clause — the clause cannot make a false statement true or protect a party from the consequences of having induced the contract through misrepresentation.

#### APPLICATION — Applying the Entire Agreement Clause to Each Claim

STATEMENT (ii) — HEATED PARKING (TERM): The entire agreement clause would bar Elena from relying on the oral heated parking statement as a contractual TERM, if the written APS does not include that term. Elena must therefore pursue this as a MISREPRESENTATION claim (which the entire agreement clause cannot bar) rather than as a breach of contract based on a collateral warranty.

STATEMENTS (i) AND (iii) — MISREPRESENTATION CLAIMS: The entire agreement clause does not bar Elena's misrepresentation claims for the soundproofing statement or the rooftop amenities statement. Misrepresentation is a pre-contractual wrong — it goes to the validity of the contract itself. A clause within the contract cannot retroactively cure the misrepresentation that induced it.

BHASIN PRINCIPLE: Under *Bhasin v Hrynew*, a party cannot use an entire agreement clause to shield active dishonesty that breached the duty of honest performance. Marcus's failure to disclose the noise complaints while making a categorical false statement about soundproofing may be within the Bhasin framework — active misleading conduct cannot be laundered by an entire agreement clause.

#### CONCLUSION

The entire agreement clause does NOT bar Elena's misrepresentation claims. Misrepresentation is a pre-contractual wrong that operates to vitiate consent to the contract — no clause within the contract can prevent a party from challenging whether they validly consented. Elena may pursue rescission and damages for all three misrepresentations notwithstanding the entire agreement clause. Elena's claim for heated parking as a contractual term may be affected by the clause (collateral contracts barred) but the misrepresentation claim for that statement remains fully available. Elena is entitled to rescind the APS and recover her \$62,500 deposit, subject to whether any bar to rescission (affirmation, third party rights, impossibility of restoration) applies — on these facts, Elena sought rescission upon discovering the misrepresentations at possession, which is not an unreasonable delay.

### QUESTION 5 OF 12

|                         |                                                                                                     |
|-------------------------|-----------------------------------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Consideration — Modification, Forbearance, and Promissory Estoppel                                  |
| <b>Secondary Topics</b> | Gilbert Steel; <i>Williams v Roffey</i> ; <i>Foakes v Beer</i> ; <i>High Trees</i> ; <i>Burrows</i> |
| <b>Difficulty</b>       | Medium                                                                                              |
| <b>Suggested Time</b>   | 36 Minutes                                                                                          |
| <b>Mark Value</b>       | 20 Marks                                                                                            |

#### FACT PATTERN

Ironwood Steel Ltd. ('Ironwood') contracted to supply structural steel to Bridgeview Construction ('Bridgeview') for a commercial office tower project. The contract price was \$3.2 million for delivery of 800 tonnes of structural steel over six months.

SCENARIO A — MODIFICATION: Three months into delivery (after 400 tonnes had been supplied),

global steel prices increased sharply due to supply chain disruptions. Ironwood's CEO called Bridgeview's project manager and said: 'Our costs have gone up significantly. We need an additional \$400,000 to complete delivery of the remaining 400 tonnes, otherwise we'll have to stop.' Bridgeview's project manager responded: 'We need that steel to make our construction deadline. Agreed — we'll pay the extra \$400,000.' The steel was delivered and Bridgeview then refused to pay the \$400,000.

**SCENARIO B — PART PAYMENT AND DEBT:** Separately, Bridgeview owed its subcontractor, RiverRock Foundations Ltd. ('RiverRock'), \$180,000 for completed pile-driving work. Bridgeview was experiencing cash flow difficulties. Bridgeview's director telephoned RiverRock's director and proposed: 'We can pay you \$120,000 now and nothing more — take it or leave it.' RiverRock's director, needing immediate funds, accepted. RiverRock cashed the \$120,000 cheque and issued a receipt marked 'payment in full settlement.' Six months later, RiverRock now claims the \$60,000 balance.

**SCENARIO C — ESTOPPEL:** During the same cash flow crisis, Bridgeview approached its bank, First National, which held a first mortgage on Bridgeview's land. First National agreed in writing to defer Bridgeview's monthly mortgage payments for six months. Bridgeview made no mortgage payments for six months in reliance on this arrangement. At the end of the six months, First National demanded immediate repayment of all six months of deferred payments plus interest.

#### YOUR TASK:

12. (a) Is Bridgeview's promise to pay the additional \$400,000 (Scenario A) enforceable against it? (7 marks)
13. (b) Can RiverRock recover the remaining \$60,000 (Scenario B)? (7 marks)
14. (c) Can First National immediately demand all deferred payments (Scenario C)? Apply promissory estoppel. (6 marks)

#### EXAMINER'S GUIDE

Part (a): Classic pre-existing duty / Gilbert Steel analysis. Ironwood threatened to stop delivery (breach of existing contract). Bridgeview agreed to pay more for the same steel. Fresh consideration? No — Ironwood was already obligated to deliver the remaining 400 tonnes. *Williams v Roffey* practical benefit: Bridgeview obtained benefit of meeting its construction deadline. But *Williams v Roffey* is English law; Gilbert Steel is Canadian ONCA authority. Strong pre-existing duty argument. Note also: economic duress argument for Bridgeview? Was Ironwood's threat to stop delivery (a breach) an illegitimate pressure that Bridgeview had no practical choice but to accept?

Part (b): *Foakes v Beer* — part payment of a debt does not satisfy the whole absent fresh consideration. The receipt marked 'payment in full' and RiverRock's acceptance does not extinguish the debt — no consideration given by Bridgeview for the \$60,000 forgiveness. BUT: promissory estoppel? RiverRock promised (in accepting and receipting) not to claim the balance. Did Bridgeview rely? If Bridgeview did not change its position in reliance on the settlement, estoppel may not apply (*Burrows* — reliance required).

Part (c): Classic High Trees / *Burrows* promissory estoppel scenario. Clear written promise to defer (sufficient); Bridgeview relied by not paying (reliance established); inequitable to demand immediate repayment when Bridgeview relied on the deferral. But: First National can give REASONABLE NOTICE to resume strict rights — the deferred payments must be paid, but on reasonable notice (suspension, not extinction).

Cases: Gilbert Steel; *Williams v Roffey*; *Foakes v Beer*; High Trees; *Burrows* [1968] SCR.

## MODEL ANSWER — QUESTION 5

### Part (a) — The \$400,000 Modification (7 marks)

**ISSUE**

The issue is whether Bridgeview's promise to pay Ironwood an additional \$400,000 for delivery of the remaining 400 tonnes of steel — for which Ironwood was already contractually obligated — is enforceable.

**RULE**

Pre-existing contractual duty cannot constitute consideration for a new promise: *Stilk v Myrick* [1809]; *Gilbert Steel Ltd v University Construction* (1976) ONCA. *Williams v Roffey Bros* [1991] (UK — uncertain in Canada): a practical benefit to the promisor can constitute consideration for a modification.

**APPLICATION — Pre-Existing Duty Analysis**

Because Ironwood was already contractually obligated under the original \$3.2 million contract to deliver all 800 tonnes of structural steel — including the remaining 400 tonnes — delivering those 400 tonnes was Ironwood's existing contractual duty. Under *Gilbert Steel*, performing an existing contractual duty cannot be consideration for Bridgeview's new promise to pay \$400,000 more. The modification is unenforceable for lack of consideration.

ALSO NOTE — ECONOMIC DURESS: Ironwood's threat to stop delivery was itself a threatened breach of contract. A threat to breach an existing contract is illegitimate commercial pressure. Bridgeview had no practical alternative — stopping steel supply mid-construction would cause it to miss critical deadlines and trigger penalty clauses. Bridgeview agreed under duress, not freely. Economic duress is an independent basis to avoid the modification — a contract term procured by illegitimate economic pressure may be voidable.

WILLIAMS v ROFFEY (practical benefit): Bridgeview did receive a practical benefit — the steel was delivered on time, allowing Bridgeview to meet its construction deadline (presumably avoiding delay penalties). Under *Williams v Roffey*, this practical benefit could constitute consideration. However, in Canada, *Gilbert Steel* has not been displaced — Canadian courts continue to apply the pre-existing duty rule. A Canadian court is not obligated to follow *Williams v Roffey*.

**CONCLUSION**

Bridgeview's promise to pay the additional \$400,000 is NOT enforceable. Ironwood provided no fresh consideration — it merely performed its existing contractual duty (*Gilbert Steel*). Additionally, Ironwood's threatened breach may constitute economic duress, giving Bridgeview an independent basis to avoid the modification. Under *Williams v Roffey* (English law, uncertain in Canada), Bridgeview's practical benefit (meeting its construction deadline) could constitute consideration — but a Canadian court applying *Gilbert Steel* would likely reject this argument. Bridgeview need not pay the \$400,000.

**Part (b) — RiverRock's Claim for the \$60,000 Balance (7 marks)****ISSUE**

The issue is whether RiverRock is entitled to recover the \$60,000 balance of its \$180,000 debt, notwithstanding the 'payment in full settlement' receipt, and whether Bridgeview can raise promissory estoppel to prevent recovery.

**RULE**

*Foakes v Beer* [1884] HL: Part payment of a debt does not satisfy the full amount — the creditor can sue for the balance — unless fresh consideration is provided by the debtor. The creditor's agreement to accept less is a promise unsupported by consideration and therefore unenforceable. Promissory estoppel (*High Trees*; *Burrows* [1968] SCR): may prevent the creditor from resiling from a clear promise to accept less IF the debtor relied on that promise.

**APPLICATION — Foakes v Beer Analysis**

Because Bridgeview owed RiverRock \$180,000 and paid only \$120,000 — providing no additional consideration for the forgiveness of the \$60,000 balance — the agreement to accept \$120,000 'in full settlement' is not binding on RiverRock under *Foakes v Beer*. RiverRock received no fresh consideration for forgiving the \$60,000.

The 'payment in full settlement' receipt does not alter this analysis — the receipt records Bridgeview's labelling of the payment, but RiverRock's acceptance of the cheque does not constitute a deed (specialty contract requiring no consideration) or a binding accord and satisfaction without fresh consideration.

RiverRock is entitled to sue for the \$60,000 balance.

**APPLICATION — Can Bridgeview Raise Promissory Estoppel?**

Bridgeview might argue that RiverRock's written acceptance of \$120,000 'in full settlement' constitutes a clear and unequivocal promise to waive the \$60,000 balance — and that Bridgeview relied on this promise.

**RELIANCE ANALYSIS (Burrows):** The key question is whether Bridgeview changed its position in reliance on RiverRock's promise. Did Bridgeview commit its remaining funds to other purposes in reliance on the settlement? The facts state only that Bridgeview was in a cash flow crisis — they do not specifically state that Bridgeview took any specific detrimental steps in reliance on the settlement beyond paying the \$120,000. If Bridgeview has no demonstrable reliance beyond the payment itself, estoppel fails.

**Six-month gap:** RiverRock waited six months to claim the balance. This delay does not by itself constitute reliance — Bridgeview must show it did something specific in reliance on the settlement during those six months.

**CONCLUSION ON ESTOPPEL:** Bridgeview has not established the reliance element required for promissory estoppel under *Burrows*. The estoppel defence is likely unavailable.

**CONCLUSION**

RiverRock CAN recover the \$60,000 balance under *Foakes v Beer* — part payment of a debt does not discharge the full amount without fresh consideration, which Bridgeview did not provide. Bridgeview's promissory estoppel defence is weak — there is no clear evidence that Bridgeview changed its position in specific reliance on RiverRock's acceptance of \$120,000 in full settlement (*Burrows*: reliance is required even where detriment is not). RiverRock is entitled to the full \$60,000 balance.

**Part (c) — First National's Mortgage Demand (6 marks)****ISSUE**

The issue is whether First National can immediately demand all six months of deferred mortgage payments plus interest, or whether promissory estoppel prevents this.

**RULE**

Promissory estoppel (*High Trees* [1947]; *John Burrows v Subsurface Surveys* [1968] SCR): Three elements: (1) clear and unequivocal promise to suspend strict legal rights; (2) reliance by the promisee (no detriment required in Canada); (3) inequitable to resile. **SUSPENSION vs EXTINCTION:** Promissory estoppel generally suspends rights — the promisor may give reasonable notice to resume strict enforcement going forward.

**APPLICATION — Applying Promissory Estoppel**

**ELEMENT 1 — CLEAR PROMISE:** Because First National agreed **IN WRITING** to defer Bridgeview's monthly mortgage payments for six months, the promise was written and unequivocal — a clear promise to suspend its strict right to demand monthly payments. This satisfies the first element (stronger than the verbal indulgence in *Burrows* — a written agreement is clearly unequivocal).

**ELEMENT 2 — RELIANCE:** Because Bridgeview made no mortgage payments for six months in reliance on First National's written deferral, and presumably committed those funds to other business operations or creditors during the cash flow crisis, Bridgeview relied on the promise. Canadian law does not require detriment — reliance in the sense of acting differently than one otherwise would have is sufficient (Burrows).

**ELEMENT 3 — INEQUITABLE TO RESILE:** Because First National now demands IMMEDIATE repayment of all six months of deferred payments at once — without notice — after Bridgeview organized its affairs in reliance on the six-month deferral, it would be inequitable to require Bridgeview to repay everything immediately. Bridgeview cannot now retroactively obtain the funds it chose not to put aside during the deferral period.

**RESULT — SUSPENSION NOT EXTINCTION:** Promissory estoppel does not permanently extinguish the deferred payments — it suspends First National's right to IMMEDIATE payment. First National may give reasonable notice to Bridgeview that it intends to resume strict enforcement. On reasonable notice (e.g., restoring monthly payments going forward + a reasonable repayment schedule for the deferred amounts), First National can enforce its mortgage rights. It cannot demand the full six months immediately without notice.

### CONCLUSION

First National cannot immediately demand all six deferred payments without reasonable notice. Promissory estoppel applies: First National gave a clear written promise to defer payments; Bridgeview relied on it by organizing its finances accordingly; immediate full repayment without notice would be inequitable. However, promissory estoppel suspends First National's rights — it does not extinguish the debt. First National may give reasonable notice to Bridgeview of its intention to resume strict enforcement. After giving reasonable notice and a reasonable period for Bridgeview to arrange repayment, First National can enforce the deferred amounts.

## QUESTION 6 OF 12

|                         |                                                                        |
|-------------------------|------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Exclusion Clause — Incorporation and Tercon Three-Step                 |
| <b>Secondary Topics</b> | L'Estrange; Thornton; Interfoto; Tercon 2010 SCC 4; contra proferentem |
| <b>Difficulty</b>       | Hard                                                                   |
| <b>Suggested Time</b>   | 36 Minutes                                                             |
| <b>Mark Value</b>       | 20 Marks                                                               |

### FACT PATTERN

DataVault Solutions Inc. ('DataVault') is a commercial data storage company. On June 1, Cascade Media Corp. ('Cascade') contacted DataVault by telephone to arrange emergency backup storage for 40 terabytes of proprietary film and television production files following a server failure. Cascade's IT manager, Derek Pham, called DataVault and booked the service on the phone. DataVault's representative confirmed: 'We'll send over a driver within two hours with storage drives. The charge is \$2,500/month.' Derek agreed and said 'That's fine — send it over.'

Two hours later, DataVault's driver delivered the storage units and presented Derek with a 'Service Delivery Note.' The note contained a clause in 6-point font on the reverse side, which stated:

Clause 17: 'DataVault's liability for any loss, damage, or destruction of client data, howsoever caused, including by DataVault's negligence, is limited to a maximum of \$500 per storage incident.'

Clause 18: 'In no event shall DataVault be liable for any consequential, indirect, special, or punitive damages of any nature arising from the storage of client data.'

Derek signed the delivery note without reading the reverse side.

Three months into the contract, DataVault's servers were destroyed by a fire caused by DataVault's own negligence in maintaining its fire suppression system. All 40 terabytes of Cascade's production files were permanently lost. The lost files represented completed but unreleased film productions with a market value of \$4.2 million. Cascade had no other backup copies.

### YOUR TASK:

15. (a) Were Clauses 17 and 18 incorporated into the contract between Cascade and DataVault? Apply all relevant principles. (10 marks)
16. (b) If incorporated, do Clauses 17 and 18 bar Cascade's claim? Apply the Tercon three-step test. (10 marks)

### EXAMINER'S GUIDE

Part (a): Contract formed on the phone — terms agreed: \$2,500/month, data storage. The Service Delivery Note with Clauses 17 and 18 arrived AFTER the contract was formed (Thornton v Shoe Lane Parking — notice must be BEFORE or at the time of contracting). BUT: Derek SIGNED the Delivery Note → L'Estrange v Graucob — signature = incorporation regardless of reading. The two rules conflict — L'Estrange (signature, incorporated) vs Thornton (post-contractual, too late). Analysis: Which governs? The signature was after the contract was formed — arguably L'Estrange still applies (Derek chose to sign). BUT: the clauses are also unusually onerous (Interfoto 'red hand' rule) — the \$500 cap for a data storage company that charges \$2,500/month, limiting liability for complete destruction of valuable data, is extraordinarily one-sided. Heightened notice was required.

Part (b): Tercon Step 1 — interpretation. Clause 17 says 'any loss, damage, or destruction, including DataVault's negligence.' This expressly covers negligence — Step 1 resolved in DataVault's favour on negligence. Clause 18 — consequential damages. Step 2 — Unconscionability: strong argument here — data storage company + \$500 cap for destroying \$4.2 million of data is a grossly improvident result. Step 3 — Public policy: courts are reluctant but where a company's clause enables it to destroy client data worth millions with \$500 exposure, this may reach the public policy threshold.

Cases: L'Estrange v Graucob; Thornton v Shoe Lane Parking; Interfoto v Stiletto; Tercon 2010 SCC 4.

## MODEL ANSWER — QUESTION 6

### Part (a) — Incorporation of Clauses 17 and 18 (10 marks)

#### ISSUE

The issue is whether Clauses 17 and 18 — printed in 6-point font on the reverse of the Service Delivery Note delivered after the telephone contract was formed — were incorporated into the contract between Cascade and DataVault.

#### RULE

L'ESTRANGE v GRAUCOB [1934]: A party who SIGNS a document is bound by all its terms, even if they did not read them. Signature = incorporation. THORNTON v SHOE LANE PARKING [1971]: Notice of exclusion clauses must be given BEFORE or AT THE TIME the contract is made. A document delivered after the contract is concluded comes too late to incorporate exclusion clauses. INTERFOTO PICTURE LIBRARY v STILETTO [1989]: Unusually onerous or unusual terms require

specially prominent notice — beyond what is given for standard terms.

#### **APPLICATION — When Was the Contract Formed?**

Because Derek Pham agreed on the telephone that DataVault would provide storage at \$2,500/month and DataVault confirmed it would deliver within two hours, the contract was concluded by telephone on June 1 — before the storage units and the Service Delivery Note were delivered.

The delivery of the Service Delivery Note two hours later was a post-contractual event. Under *Thornton v Shoe Lane Parking*, terms not communicated before or at the time of contracting cannot be incorporated — they arrive too late. Clauses 17 and 18, on the reverse of the Delivery Note, were communicated AFTER the contract was formed. Under *Thornton*, they are not incorporated.

#### **APPLICATION — L'Estrange — Does Derek's Signature Change the Analysis?**

Because Derek SIGNED the Service Delivery Note, DataVault will argue that under *L'Estrange v Graucob*, the signature incorporates all terms regardless of whether Derek read them.

THE TENSION: *L'Estrange* applies where a party signs a contractual document. But if the contract was already formed before Derek signed, what did the signature accomplish? Two possibilities: (a) the signed Delivery Note was a NEW or MODIFIED agreement — if the parties intended the written Delivery Note to supersede the telephone agreement, the signature incorporates all terms; (b) the signed Delivery Note was merely a receipt for the delivered goods — an administrative step in an already-concluded contract — in which case *L'Estrange* may not apply.

Given that Derek signed quickly upon delivery — essentially acknowledging receipt of the storage units — the better argument is that the Delivery Note was an administrative receipt, not a new contractual document. *L'Estrange* typically applies where both parties understood the document being signed was a CONTRACT, not a receipt. Under this analysis, *Thornton* prevails: the clauses were post-contractual and not incorporated.

#### **APPLICATION — Interfoto — Unusually Onerous Terms**

Even if the signature argument supports incorporation under *L'Estrange*, Clauses 17 and 18 are extraordinarily onerous: a data storage company that charges \$2,500/month limiting its liability for complete destruction of client data (including by its own negligence) to \$500 — a reduction of 99.98% from the actual value at stake (\$4.2 million). Under *Interfoto*, such an unusually onerous and exceptional clause requires SPECIALLY PROMINENT notice — not merely printing in 6-point font on the reverse of a delivery note.

DataVault took no steps to draw Clause 17 specifically to Cascade's attention — it was in 6-point font on the reverse side of a routine delivery document. The 'red hand' principle (Lord Denning) demands that the more unreasonable a clause, the more prominently it must be disclosed. A clause limiting liability for complete data destruction to \$500 is extreme by any commercial standard.

#### **CONCLUSION**

Clauses 17 and 18 were NOT incorporated into the contract. The contract was formed by telephone before the Delivery Note was presented — under *Thornton*, post-contractual terms cannot be incorporated. Even if Derek's signature supports *L'Estrange* incorporation, the clauses are extraordinarily onerous and required specially prominent notice under *Interfoto* that DataVault did not provide. The clauses are ineffective.

### **Part (b) — Tercon Three-Step (If Incorporated) (10 marks)**

#### **ISSUE**

Assuming Clauses 17 and 18 were incorporated, the issue is whether they are enforceable under the Tercon three-step test.

#### **RULE**

Tercon Contractors 2010 SCC 4: (1) Does the clause apply on its proper interpretation? (2) Was it unconscionable at formation? (3) Should the court refuse enforcement on public policy grounds?

### **APPLICATION — Step 1 — Interpretation**

Clause 17 states it limits liability for 'any loss, damage, or destruction of client data, howsoever caused, INCLUDING BY DATAVAULT'S NEGLIGENCE.' This language expressly covers negligent destruction — courts require clear language to exclude negligence liability, and 'including DataVault's negligence' is precisely that. Step 1 is resolved in DataVault's favour on Clause 17.

Clause 18 excludes consequential and indirect damages. Cascade's \$4.2 million loss includes the market value of the lost productions — which may be classified as consequential (the productions had not yet been released; their value was prospective market return). If the loss is consequential, Clause 18 may also apply.

On interpretation, both clauses appear to cover the breach in question.

### **APPLICATION — Step 2 — Unconscionability at Formation**

Because DataVault is in the business of data storage — it holds itself out as a professional custodian of client data — and Cascade was a media company storing irreplaceable production files worth millions, the relevant context is clear: DataVault knew (or should have known) the nature and value of what it was storing.

A clause limiting DataVault's liability to \$500 for complete destruction of all client data — a reduction from \$4.2 million to \$500, a ratio of 8,400:1 — is grossly disproportionate to any legitimate limitation of liability. The clause does not merely cap damages at a reasonable amount — it renders DataVault's liability functionally zero no matter how negligently it behaves.

The inequality of bargaining power: Cascade contacted DataVault in an emergency (server failure). Emergency situations reduce the client's ability to negotiate terms or source alternatives. DataVault had structural bargaining leverage.

A strong argument exists that Clause 17 was unconscionable at formation — the clause produced an improvident result so extreme that a court should be reluctant to enforce it.

### **APPLICATION — Step 3 — Public Policy**

A clause that allows a professional data custodian to negligently destroy client data worth \$4.2 million with \$500 exposure raises significant public policy concerns. It removes virtually all incentive for DataVault to maintain adequate fire suppression, security, or data protection systems — since the financial consequence of complete failure is capped at \$500.

Commercial data storage depends on the custodian having skin in the game. A clause that entirely removes financial accountability for negligent destruction of stored property undermines the fundamental commercial purpose of the storage arrangement. Courts in Canada have recognized public policy grounds where contractual terms enable egregious misconduct with impunity.

The court should refuse to enforce Clause 17 on public policy grounds — Tercon Step 3.

### **CONCLUSION**

Applying Tercon: Step 1 — Clause 17's language expressly covers negligent destruction: the clause applies on its interpretation. Step 2 — Unconscionability: a strong argument that a \$500 cap for professional negligent destruction of \$4.2 million of data, in an emergency context with reduced bargaining power, was unconscionable at formation. Step 3 — Public policy: a clause that grants a professional custodian financial immunity for its own negligent destruction of stored property undermines the commercial purpose of data storage services and warrants non-enforcement. The court should refuse to enforce Clause 17 on unconscionability and/or public policy grounds. Cascade is entitled to full damages for the \$4.2 million loss.

**QUESTION 7 OF 12**

|                         |                                                                             |
|-------------------------|-----------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Interpretation — Sattva + Implied Terms + Good Faith (Bhasin/Callow)        |
| <b>Secondary Topics</b> | Sattva 2014 SCC 53; The Moorcock; Bhasin 2014 SCC 71; CM Callow 2020 SCC 45 |
| <b>Difficulty</b>       | Hard                                                                        |
| <b>Suggested Time</b>   | 45 Minutes                                                                  |
| <b>Mark Value</b>       | 25 Marks                                                                    |

**FACT PATTERN**

TechPrime Inc. ('TechPrime') and Vertex Solutions Corp. ('Vertex') entered into a five-year Software Development and Support Agreement ('Agreement'). The Agreement required Vertex to develop a proprietary inventory management platform for TechPrime and provide ongoing technical support. The Agreement stated the following relevant provisions:

Clause 3.1: 'Vertex shall provide TechPrime with software updates and enhancements as required to maintain platform functionality.'

Clause 7.2: 'This Agreement may be terminated by Vertex upon 90 days' written notice if TechPrime fails to meet any payment obligation.'

Clause 9.1: 'The parties agree that Vertex shall have the right to sub-license the platform technology to non-competing businesses.'

A dispute arose in Year 3. TechPrime experienced a delayed payment in Month 28 (paid 45 days late due to an accounting error, subsequently remedied). In January of Year 3, Vertex internally decided to terminate the Agreement in Month 30 and transfer resources to a more lucrative client. Vertex did NOT disclose this decision to TechPrime.

Between January and Month 30 (two months): Vertex's representatives met with TechPrime's IT team to discuss future platform development roadmap. Vertex's sales team discussed multi-year support renewal options with TechPrime. Vertex did not indicate any concern about the future of the Agreement.

In Month 30, Vertex served a 90-day termination notice under Clause 7.2, citing TechPrime's Month 28 delayed payment.

TechPrime argues: (1) Clause 7.2 does not apply because the delayed payment was cured; (2) Vertex had an implied obligation to update the platform to accommodate a new government reporting requirement; (3) Vertex breached its good faith obligations by engaging in discussions about the future of the Agreement while concealing its decision to terminate.

**YOUR TASK:**

17. (a) Does Clause 7.2 entitle Vertex to terminate the Agreement based on TechPrime's Month 28 delayed payment? Interpret the clause applying the Sattva Capital principles. (8 marks)
18. (b) Does Clause 3.1 impose an obligation on Vertex to update the platform to accommodate the new government reporting requirement? Apply the implied terms analysis. (8 marks)
19. (c) Did Vertex breach its duty of honest performance under Bhasin and CM Callow? What damages can TechPrime claim? (9 marks)

**EXAMINER'S GUIDE**

Part (a): Sattva — interpret Clause 7.2 in context. 'Fails to meet any payment obligation' — does a 45-day delayed payment (subsequently cured) constitute a 'failure to meet' a payment obligation?

Ordinary meaning: 'failure to meet' could mean non-payment OR late payment. Surrounding circumstances: a five-year software development agreement; the payment was for a substantial ongoing service. Business efficacy: can a cured delay trigger irreversible termination? Contra proferentem: ambiguity resolved against Vertex (who drafted). Innominate term / condition analysis: is a payment obligation a condition (any breach → terminate) or an innominate term (severe breach → terminate)? A 45-day cured delay is likely not serious enough to trigger termination under a purposive, business efficacy reading.

Part (b): The Moorcock — implied term to accommodate new government reporting requirement. The Agreement requires Vertex to maintain 'platform functionality.' Does 'functionality' mean functionality for TechPrime's current uses (static) or for TechPrime's legally required uses (dynamic)? Business efficacy: without this update, TechPrime cannot use the platform for its legally required reporting. Officious bystander: would both parties have said 'of course' at contracting? The government reporting obligation is a foreseeable legal change. The implied term is likely 'software updates needed to maintain the platform's core function for TechPrime's business.'

Part (c): Bhasin duty of honest performance — Vertex was performing the Agreement while having decided internally to terminate. CM Callow: did Vertex ACTIVELY MISLEAD TechPrime? The future roadmap discussions + multi-year renewal discussions while concealing the termination decision = actively misleading (CM Callow — Baycrest discussed renewal while knowing it had decided to terminate). TechPrime's damages: the value of TechPrime's reasonable reliance — costs of participating in roadmap discussions, any commitments TechPrime made on the basis of the discussions, the cost of finding a replacement system on shorter notice than it would have had if Vertex disclosed its intention earlier.

Cases MUST cite: Sattva Capital 2014 SCC 53; The Moorcock [1889]; Bhasin v Hrynew 2014 SCC 71; CM Callow Inc v Zollinger 2020 SCC 45.

**MODEL ANSWER — QUESTION 7****Part (a) — Interpretation of Clause 7.2 — Sattva (8 marks)****ISSUE**

The issue is whether Clause 7.2's right to terminate on 90 days' notice if TechPrime 'fails to meet any payment obligation' was triggered by TechPrime's Month 28 delayed payment — paid 45 days late due to an accounting error and subsequently remedied.

**RULE**

Sattva Capital Corp v Creston Moly Corp, 2014 SCC 53: Contracts are interpreted in their matrix of fact — the surrounding circumstances known to both parties at the time of contracting. Ordinary meaning governs absent ambiguity. Ambiguity is resolved contra proferentem against the drafter. Business efficacy informs interpretation of ambiguous language.

**APPLICATION — Ordinary Meaning Analysis**

Clause 7.2 permits termination if TechPrime 'fails to meet any payment obligation.' The phrase 'fails to meet' admits of two readings: (a) LITERAL: any non-compliance with a payment obligation — including temporary delay — triggers termination rights; (b) PURPOSIVE: 'fails to meet' means a substantive failure to pay — a genuine non-payment or refusal to pay — not a technical delay subsequently cured.

The ordinary meaning of 'fails to meet' in commercial usage typically refers to an inability or unwillingness to satisfy an obligation — not a temporary administrative delay. A 45-day delay caused

by an accounting error, subsequently remedied, is a cure, not an ongoing 'failure.'

#### **APPLICATION — Sattva Matrix of Fact**

The surrounding circumstances known to both parties at contracting: this was a five-year strategic software development relationship — a major long-term commercial partnership. In such relationships, payment obligations are typically managed with some flexibility for administrative delays. Both parties in a five-year development relationship would understand that occasional payment timing issues might arise.

Had Vertex intended that ANY late payment (including cured delays) would trigger irrevocable termination rights, this is a clause so commercially aggressive that both parties would have specifically negotiated and addressed it — it would not be left to ambiguity in standard-form language.

#### **APPLICATION — Business Efficacy and Contra Proferentem**

Business efficacy: A five-year software development agreement becomes commercially unworkable if a cured 45-day administrative delay triggers irreversible termination rights. TechPrime would have no practical security in making long-term commitments (IT infrastructure, staff training, data migration) to a platform it could lose at any time due to a cured administrative payment delay. This reading undermines the commercial purpose of the long-term Agreement.

Contra proferentem: Clause 7.2 was drafted by Vertex. Any ambiguity in 'fails to meet any payment obligation' must be resolved against Vertex. The interpretation that a cured delay is NOT a 'failure to meet' is more favorable to TechPrime — the non-drafter — and must be preferred.

#### **CONCLUSION**

Clause 7.2 does NOT entitle Vertex to terminate based on TechPrime's Month 28 delayed payment. Applying Sattva's matrix of fact: in a five-year strategic partnership, a cured 45-day administrative delay is not a 'failure to meet' a payment obligation within the meaning of Clause 7.2. Business efficacy requires a purposive reading; contra proferentem resolves ambiguity against Vertex. Vertex's purported termination was not authorized by Clause 7.2 — it is a wrongful termination and a breach of contract.

### **Part (b) — Implied Term — Government Reporting Obligation (8 marks)**

#### **ISSUE**

The issue is whether Clause 3.1's requirement that Vertex provide 'software updates and enhancements as required to maintain platform functionality' imposes an obligation on Vertex to update the platform to accommodate a new government reporting requirement.

#### **RULE**

The Moorcock [1889]: A term is implied in fact where it is NECESSARY to give the contract business efficacy — without the implied term, the contract would not work commercially. Both tests (business efficacy + officious bystander) must identify a term so necessary that the parties could not have intended to exclude it.

#### **APPLICATION — Applying the Implied Terms Analysis**

Clause 3.1 requires 'software updates and enhancements as required to maintain platform functionality.' The key question is what 'platform functionality' means in context — static (maintaining the platform as originally built) or dynamic (maintaining the platform's fitness for TechPrime's evolving business needs, including legal compliance).

BUSINESS EFFICACY: Without an obligation to update the platform for new government reporting requirements, TechPrime's inventory management platform ceases to be functional for a core aspect of TechPrime's legally required business operations. A platform that TechPrime cannot legally use for government reporting is not 'functional' in any commercially meaningful sense. Business efficacy

requires the implied term.

OFFICIOUS BYSTANDER: At the time the Agreement was signed, would both parties have said 'of course' if asked 'will Vertex update the platform to accommodate new government reporting requirements?' In a five-year software development and support agreement, adapting to regulatory changes affecting the client's industry is precisely what 'maintaining functionality' means in ongoing support arrangements. Both parties would likely have agreed without hesitation.

The implied term is: Vertex must provide updates as required to maintain the platform's compliance with applicable legal and regulatory requirements affecting TechPrime's use of the platform.

### CONCLUSION

A term is implied into Clause 3.1 that Vertex must update the platform to accommodate applicable regulatory changes — including new government reporting requirements — as this is necessary to maintain the platform's core functionality for TechPrime's business (The Moorcock business efficacy; officious bystander). Vertex's failure to provide the required update is a breach of this implied term.

## Part (c) — Breach of Duty of Honest Performance (9 marks)

### ISSUE

The issue is whether Vertex breached its duty of honest performance by engaging TechPrime in future roadmap and renewal discussions while concealing its internal decision to terminate the Agreement.

### RULE

Bhasin v Hrynew, 2014 SCC 71: Parties must not lie or knowingly mislead each other about matters directly linked to the performance of the contract. The duty does not require disclosure but prohibits active deception. CM Callow Inc v Zollinger, 2020 SCC 45: Half-truths, omissions, and even silence can breach the duty of honest performance where the conduct is actively misleading.

### APPLICATION — Did Vertex's Conduct Actively Mislead TechPrime?

Between January and Month 30 (two months), Vertex had internally decided to terminate the Agreement. During this period: (a) Vertex's representatives participated in 'future platform development roadmap' discussions with TechPrime; (b) Vertex's sales team discussed 'multi-year support renewal options' with TechPrime.

These activities — future roadmap planning and multi-year renewal discussions — created a strong and specific impression that the Agreement was continuing and that Vertex was committed to a long-term relationship. TechPrime would reasonably understand these discussions as signals that Vertex intended to continue the Agreement.

Applying CM Callow: just as Baycrest discussed renewal while having decided internally to terminate (and thereby actively misled Callow), Vertex engaged in forward-looking discussions — roadmap planning and renewal options — while having already decided to terminate. These discussions went beyond mere silence (which might be acceptable) into active creation of a false impression that the Agreement was secure.

Vertex's conduct was directly linked to performance of the Agreement — the roadmap discussions concerned the platform's development; the renewal discussions concerned the Agreement's continuation. The duty of honest performance applies to the exercise of rights under the contract (CM Callow — including the termination right) — Vertex exercised its termination right while actively misleading TechPrime about its intentions.

### APPLICATION — TechPrime's Damages

TechPrime's damages for breach of the duty of honest performance = the economic harm caused by Vertex's dishonest conduct — specifically, the loss TechPrime suffered because it was not given honest information about Vertex's intentions.

Had Vertex disclosed in January that it intended to terminate by Month 30, TechPrime would have had more time to: (a) source a replacement platform developer; (b) negotiate contract terms with an alternative vendor; (c) avoid committing resources to the roadmap discussions and renewal planning. TechPrime's recoverable damages: the costs of the roadmap and renewal discussions undertaken in reliance on the false impression Vertex created; the additional costs of finding a replacement vendor on shorter notice than TechPrime would have needed if disclosure had been made in January; any contracts or commitments TechPrime made in reliance on the implied continuation of the Agreement. These are the economic consequences of Vertex's active deception — analogous to Bhasin's \$87,000 (the value of the business he could have preserved with honest disclosure).

### CONCLUSION

Vertex breached its duty of honest performance under Bhasin and CM Callow. By engaging TechPrime in roadmap planning and renewal discussions while having decided internally to terminate — without disclosing that decision — Vertex actively misled TechPrime about the Agreement's future. This is precisely the Callow scenario: participating in discussions that reinforce a false impression of continuity while concealing a decision to terminate. TechPrime's damages = the economic harm from Vertex's deception: the costs of unnecessary roadmap and renewal discussions; the premium of finding a replacement vendor on shorter notice; any commitments made in reliance on the implied continuation.

## QUESTION 8 OF 12

|                         |                                                                                        |
|-------------------------|----------------------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Mistake (Three Types) + Misrepresentation + Hedley Byrne                               |
| <b>Secondary Topics</b> | Bell v Lever Brothers; Smith v Hughes; Raffles; Esso Petroleum v Mardon; Queen v Cynos |
| <b>Difficulty</b>       | Hard                                                                                   |
| <b>Suggested Time</b>   | 45 Minutes                                                                             |
| <b>Mark Value</b>       | 25 Marks                                                                               |

### FACT PATTERN

**SCENARIO A — COMMON MISTAKE:** Heritage Furnishings Ltd. ('Heritage') contracted to sell an antique dresser to Collector's Gallery Inc. ('Collector') for \$45,000. Both parties believed the dresser was a genuine 18th-century Georgian piece. An independent authentication expert, retained by Heritage three months before the sale, had reported the piece as authentic. After the sale, a second expert retained by Collector concluded the dresser was a high-quality Victorian reproduction worth approximately \$3,500. Both parties had contracted in the belief that the dresser was a genuine 18th-century piece.

**SCENARIO B — UNILATERAL MISTAKE:** Pemberton Distributors Ltd. ('Pemberton') sent a purchase order for '200 cases of 2019 Reserve Cabernet Sauvignon' to Vintner Cellar Co. ('Vintner'). Vintner's sales manager believed (incorrectly) that Pemberton wanted the 2019 vintage because it intended to age the wine — Vintner therefore shipped cases of a different 2019 Cabernet Sauvignon label it considered superior for aging. Pemberton actually wanted the specific 'Reserve' label (well-known to its restaurant clients) and had no interest in the different label. Pemberton refused to accept the shipment.

**SCENARIO C — NEGLIGENT MISREPRESENTATION:** Aurora Investment Partners ('Aurora') was negotiating the acquisition of a small technology company, ByteSync Corp. Aurora's CEO met with Pinnacle Capital Advisory ('Pinnacle'), a firm that specialized in technology company valuations.

Aurora retained Pinnacle to provide a valuation opinion on ByteSync. Pinnacle's senior analyst issued a report valuing ByteSync at \$12 million. Based on this report, Aurora acquired ByteSync for \$11.5 million. Three months after acquisition, ByteSync's core software product was found to contain a critical security vulnerability that rendered it commercially unsaleable. ByteSync's actual value was \$800,000. A subsequent review found that Pinnacle's analyst had failed to perform standard security due diligence that would have identified the vulnerability.

### YOUR TASK:

20. (a) Does the shared mistake about the dresser's authenticity void the contract between Heritage and Collector? (8 marks)
21. (b) Was a binding contract formed between Pemberton and Vintner? Apply the relevant mistake analysis. (7 marks)
22. (c) Is Pinnacle liable to Aurora for the \$10.7 million loss (\$11.5 million purchase price minus \$800,000 actual value)? Apply the Hedley Byrne framework. (10 marks)

### EXAMINER'S GUIDE

Part (a): Common mistake — Bell v Lever Brothers extremely high threshold. Both parties shared the same mistaken belief (authentic Georgian dresser). Is the subject matter **ESSENTIALLY DIFFERENT**? An authentic Georgian antique worth \$45,000 vs a Victorian reproduction worth \$3,500 — this is a very strong case for essential difference compared to Bell. The dresser Heritage sold is essentially **NOT** the dresser both parties contracted for (a Georgian original vs a Victorian copy are different things, not just different values). Strong argument for void ab initio. But note: Heritage had an independent authentication — arguably Heritage made a representation about authenticity (misrepresentation alternative to mistake).

Part (b): Unilateral mistake as to the subject matter. Pemberton specified '200 cases of 2019 Reserve Cabernet Sauvignon' — a specific product. Vintner shipped a different product. Was this a counter-offer? Or acceptance of a different thing than offered? The mirror image rule — Vintner's shipment was not acceptance of Pemberton's offer because it shipped a different product. Alternatively: unilateral mistake as to identity of subject matter (analogous to Raffles — both parties meant different wine). Pemberton can reject the shipment — no binding contract for the delivered wine.

Part (c): Hedley Byrne / Queen v Cognos. Pinnacle: special expertise (technology company valuations); Aurora specifically retained them for this purpose; Aurora's reliance was foreseeable and specific. Pinnacle failed to perform standard security due diligence. Aurora's damages: \$10.7 million reliance loss (paid \$11.5 million for something worth \$800,000). Note: Aurora cannot claim expectation damages — the tort measure is reliance, not expectation. Contributory negligence? Did Aurora take any independent steps to verify?

Cases: Bell v Lever Brothers [1932]; Smith v Hughes [1871]; Raffles v Wichelhaus [1864]; Hedley Byrne [1964] HL; Queen v Cognos [1993] SCC.

## MODEL ANSWER — QUESTION 8

### Part (a) — Common Mistake: The Dresser (8 marks)

#### ISSUE

The issue is whether the shared mistaken belief that the dresser was a genuine 18th-century Georgian piece — when in fact it was a Victorian reproduction — voids the contract under the doctrine of common mistake.

#### RULE

**Bell v Lever Brothers [1932] HL:** Common mistake voids a contract only where both parties shared a fundamental mistaken belief that made the subject matter **ESSENTIALLY DIFFERENT** from what was believed. This is an extremely high threshold. Mere mistakes as to quality or value are insufficient.

#### **APPLICATION — Applying Bell v Lever Brothers**

Both Heritage and Collector believed they were contracting for a genuine 18th-century Georgian antique dresser. In fact, the dresser was a Victorian reproduction — a different period, a different category of furniture, and a fundamentally different commercial object (worth \$3,500 vs \$45,000). **IS THE SUBJECT MATTER ESSENTIALLY DIFFERENT?** Unlike Bell v Lever Brothers (where Lever Brothers received what it bargained for — termination of employment contracts — even if less valuable than it believed), Heritage sold a reproduction Victorian dresser while both parties believed it was an 18th-century Georgian original. These are not the same object at a different price — they are categorically different objects in the antiques market. An 18th-century Georgian original and a Victorian reproduction belong to different periods, categories, and markets.

The difference is not merely in value (which Bell warns against) but in **NATURE** — the object Heritage sold is essentially different from the object both parties believed they were contracting for. This is a stronger case for common mistake than Bell: in Bell, Lever Brothers received what it bargained for (termination). Heritage and Collector contracted for an 18th-century original and received an object that was not that thing at all.

**ALTERNATIVE — MISREPRESENTATION:** Heritage had commissioned an independent authentication three months before the sale that declared the piece authentic. Heritage could argue this constitutes an **INNOCENT MISREPRESENTATION** about the authenticity — if the contract is not void for mistake, Collector can seek rescission for innocent misrepresentation.

#### **CONCLUSION**

The contract is likely **VOID** for common mistake. Both Heritage and Collector shared the fundamental belief that the dresser was a genuine 18th-century Georgian piece. The subject matter (a Victorian reproduction) is essentially different from what both parties contracted for — not merely less valuable but categorically different. Bell v Lever Brothers' threshold is met. Even if common mistake does not void the contract, Heritage's pre-contractual authentication (which turned out to be incorrect) constitutes an innocent misrepresentation, entitling Collector to rescission.

### **Part (b) — Unilateral Mistake: The Wine (7 marks)**

#### **ISSUE**

The issue is whether a binding contract was formed between Pemberton and Vintner, and whether the mistake about the specific wine label affects the contract.

#### **RULE**

Smith v Hughes [1871]: Unilateral mistake as to **QUALITY** does not void a contract — the objective test governs. Raffles v Wichelhaus [1864]: Mutual mistake (parties at cross-purposes about a fundamental term — different ships named Peerless) — no contract formed. Mirror image rule: acceptance must mirror the offer exactly.

#### **APPLICATION — Analysis**

Pemberton's offer was for '200 cases of 2019 Reserve Cabernet Sauvignon' — a specific product designation. Vintner did not ship the Reserve label; it shipped a different Cabernet Sauvignon label it considered 'superior for aging.' This is not acceptance of Pemberton's offer — it is a counter-offer (supply of a different product) or non-conforming delivery.

**MIRROR IMAGE RULE:** Vintner's shipment of a different product was **NOT** acceptance of Pemberton's offer under the mirror image rule. Acceptance must conform to the offer's terms. A purchase order for 'Reserve Cabernet Sauvignon' is an offer for a specific product — delivery of a

different Cabernet Sauvignon label is not acceptance of that offer.

**MUTUAL MISTAKE (Raffles):** Alternatively, Vintner and Pemberton meant different products — Pemberton meant the Reserve label (for its restaurant clients); Vintner thought Pemberton wanted the other label (for aging). Neither party's interpretation of '2019 Reserve Cabernet Sauvignon' was unreasonable given their respective perspectives. This is arguably a Raffles scenario — parties at cross-purposes — though Pemberton's specification was clear on its face.

**PEMBERTON'S RIGHT TO REJECT:** Because Vintner shipped non-conforming goods, Pemberton has the right to reject them. Under the Sale of Goods Act, a seller who ships goods not conforming to the contract description is in breach.

### CONCLUSION

No binding contract was formed for the wine Vintner shipped. Vintner's shipment of a different product was not acceptance of Pemberton's offer — it was a non-conforming delivery (counter-offer or breach). Pemberton is entitled to reject the shipment. Even if a contract is deemed formed by the shipment, Vintner breached by delivering goods not conforming to the contract description. Pemberton owes nothing for the unaccepted, non-conforming goods.

## Part (c) — Negligent Misrepresentation: Pinnacle (10 marks)

### ISSUE

The issue is whether Pinnacle Capital Advisory is liable to Aurora Investment Partners for the \$10.7 million loss suffered on the ByteSync acquisition, arising from Pinnacle's negligent valuation report.

### RULE

**Hedley Byrne & Co v Heller & Partners [1964] HL:** A duty of care for negligent misstatement causing purely economic loss arises where: (a) the defendant has **SPECIAL SKILL** relevant to the matter; (b) the defendant knows the plaintiff will **RELY** on the advice; (c) it is **REASONABLE** to rely; (d) **PROXIMITY** exists. **Queen v Cognos Inc [1993] SCC:** Five elements — duty of care (special relationship); untrue or misleading representation; negligence; reasonable reliance; detrimental reliance. **DAMAGES:** Reliance measure — put Aurora in position it would have been in had the representation NOT been made.

### APPLICATION — Establishing Liability Under Hedley Byrne / Queen v Cognos

**SPECIAL SKILL:** Because Pinnacle held itself out as a specialist in technology company valuations — it was retained specifically for this purpose — Pinnacle had the relevant special skill and expertise.

**KNOWN RELIANCE:** Because Aurora retained Pinnacle expressly to provide a valuation opinion to inform its acquisition decision, Pinnacle knew that Aurora would specifically rely on the report in making its \$11.5 million investment decision.

**REASONABLE RELIANCE:** Because Aurora lacked Pinnacle's specialized expertise in technology company valuation and specifically engaged Pinnacle to provide this expertise, Aurora's reliance on the report was objectively reasonable. Aurora was entitled to trust the advice of a specialist it retained for this purpose.

**NEGLIGENCE:** Because Pinnacle's analyst **FAILED TO PERFORM STANDARD SECURITY DUE DILIGENCE** — a review that would have identified the critical software vulnerability — Pinnacle fell below the standard of a reasonable valuation specialist. This is the breach of the duty of care.

**CAUSATION AND LOSS:** Because Aurora's acquisition at \$11.5 million was directly caused by reliance on Pinnacle's negligent \$12 million valuation (had the vulnerability been identified, the actual value of \$800,000 would have been known and Aurora would not have acquired ByteSync at \$11.5 million), Pinnacle's negligence caused Aurora's loss.

### APPLICATION — Quantum of Damages

**RELIANCE DAMAGES** (tort measure): Aurora's damages are the **RELIANCE LOSS** — the amount

needed to put Aurora in the position it would have been in had Pinnacle NOT made the negligent valuation. Had Pinnacle's report been accurate (\$800,000 value), Aurora would not have paid \$11.5 million.

Aurora's recoverable loss: \$11.5 million (amount paid) – \$800,000 (actual value received) = \$10.7 million. This is the amount Aurora lost by relying on Pinnacle's negligent advice.

**CONTRIBUTORY NEGLIGENCE:** A court may consider whether Aurora took any independent steps to verify Pinnacle's valuation. If Aurora chose to rely entirely on Pinnacle's report without any independent verification, this is arguably reasonable for a client retaining a specialist. However, if industry standards would suggest a sophisticated acquirer should conduct independent security due diligence, Aurora's damages may be reduced for contributory negligence.

## CONCLUSION

Pinnacle is liable to Aurora for negligent misrepresentation under Hedley Byrne and Queen v Cognos. All five elements are satisfied: (1) Special relationship (Pinnacle as retained valuation expert); (2) Negligent misstatement (failure to perform standard security due diligence); (3) Reasonable reliance by Aurora; (4) Detrimental reliance causing loss. Aurora's recoverable damages are \$10.7 million — the reliance loss representing the difference between the price paid (\$11.5 million) and the actual value received (\$800,000). This is subject to reduction for any contributory negligence on Aurora's part if it should independently have verified Pinnacle's findings.

## QUESTION 9 OF 12

|                         |                                                                               |
|-------------------------|-------------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Illegality + Restraint of Trade + Severance                                   |
| <b>Secondary Topics</b> | Ex turpi causa; restraint of trade; blue pencil; Working for Workers Act 2021 |
| <b>Difficulty</b>       | Medium                                                                        |
| <b>Suggested Time</b>   | 36 Minutes                                                                    |
| <b>Mark Value</b>       | 20 Marks                                                                      |

## FACT PATTERN

**SCENARIO A — RESTRAINT OF TRADE (EMPLOYMENT):** Apex Financial Services ('Apex') is a financial planning firm. When hiring senior advisor Kavitha Menon in March 2022, Apex required her to sign an employment agreement containing the following clause:

Clause 9: 'For a period of three years following termination of employment, the Employee shall not: (i) provide financial planning services to any Apex client; (ii) work as a financial advisor, financial planner, or investment advisor anywhere in Canada; or (iii) solicit any Apex employee to join a competing firm.'

Kavitha resigned in January 2025 and joined a competitor, Bay Street Financial, as a portfolio manager in Toronto. She has not contacted any former Apex clients and has not solicited any Apex employees. Apex seeks to enforce all three sub-clauses of Clause 9.

**SCENARIO B — ILLEGALITY AND QUANTUM MERUIT:** Fairfield Home Renovation Inc. ('Fairfield') undertook a major renovation of a residential property owned by Dempster Holdings ('Dempster') for an agreed price of \$280,000. Fairfield had allowed its builder's licence to lapse before commencing the work (it did not discover this until mid-project). In the jurisdiction, the Construction Act requires all contractors performing work over \$50,000 to hold a valid licence; performance without one is an offence. Fairfield completed the renovation to a high standard. Dempster, aware that Fairfield was unlicensed, now refuses to pay anything.

**YOUR TASK:**

23. (a) Is Clause 9 enforceable? Analyze each sub-clause. Consider whether the Ontario Working for Workers Act, 2021 affects your analysis. (12 marks)
24. (b) Can Fairfield recover any amount from Dempster for the completed renovation? (8 marks)

**EXAMINER'S GUIDE**

Part (a): Sub-clause (i) — client non-solicitation: legitimate interest (specific client relationships developed at Apex); three years is at the outer edge of reasonable for financial services (clients change advisors frequently); enforceable as a reasonable protection of a legitimate interest. Sub-clause (ii) — Canada-wide three-year non-compete across all financial advisory work: THIS IS STRUCK DOWN by s.67.2 of the Employment Standards Act (added by the Working for Workers Act 2021) for Ontario employees who are not C-suite. Kavitha is a 'senior advisor' — not a C-suite executive. Sub-clause (ii) is void. Sub-clause (iii) — employee non-solicitation: legitimate interest (protecting human capital); reasonable scope (targeting employees, not all of Canada); likely enforceable. Severance: can (i) and (iii) survive if (ii) is struck? Yes — blue pencil test: each sub-clause is separately numbered and independently meaningful.

Part (b): Illegality — Fairfield performed without a required licence (Construction Act offence). Ex turpi causa. BUT: Dempster knew Fairfield was unlicensed (aware mid-project) and accepted the benefit of the renovation. Courts may allow quantum meruit recovery to prevent unjust enrichment where: (a) not equally at fault (in pari delicto — Dempster knew about the lack of licence and said nothing); (b) the benefit was accepted. The renovation is valued at \$280,000 market value. Fairfield may recover the reasonable value of the renovation on quantum meruit, even if not the full contract price, because Dempster consciously accepted the benefit while aware of the illegality.

Cases: Working for Workers Act 2021 / ESA s.67.2; ex turpi causa; quantum meruit; unjust enrichment.

**MODEL ANSWER — QUESTION 9****Part (a) — Restraint of Trade: Clause 9 Analysis (12 marks)****ISSUE**

The issue is whether the three sub-clauses of Clause 9 are enforceable as reasonable restraints of trade in Kavitha's employment contract with Apex.

**RULE**

RESTRAINT OF TRADE CLAUSES are prima facie void but enforceable if they: (1) protect a legitimate interest; (2) are reasonable as between the parties; (3) are not contrary to public interest. Ontario Employment Standards Act s.67.2 (added by the Working for Workers Act, 2021): an employer shall not enter into an employment contract that is, or contains, a non-compete agreement with an employee — unless the employee is the C-suite (CEO, CFO, COO, President, or equivalent) or the non-compete is included in connection with a sale of a business. BLUE PENCIL TEST: Courts may sever invalid sub-clauses and enforce valid remainder.

**APPLICATION — Sub-clause (ii) — Canada-Wide Non-Compete — Working for Workers Act 2021**

Sub-clause (ii) prohibits Kavitha from working as a financial advisor, financial planner, or investment advisor ANYWHERE IN CANADA for three years — a classic non-compete clause.

Because Kavitha's employment agreement was entered in March 2022 — AFTER the Working for Workers Act came into force on October 25, 2021 — and because Kavitha was a 'senior advisor'

rather than a C-suite executive (CEO, CFO, COO, President, or equivalent), sub-clause (ii) is VOID under s.67.2 of the Ontario Employment Standards Act. The Act specifically prohibits non-compete agreements for non-C-suite Ontario employees.

Sub-clause (ii) cannot be saved by any common law reasonableness analysis — it is void by statute.

#### **APPLICATION — Sub-clause (i) — Client Non-Solicitation / Non-Service**

Sub-clause (i) prevents Kavitha from providing financial planning services to any APEX CLIENT for three years. This is a client restriction, not a complete non-compete.

**LEGITIMATE INTEREST:** Apex has a legitimate interest in protecting specific client relationships that Kavitha developed through her privileged access as a senior Apex advisor. These are clients to whom Kavitha had special access and who may follow her based on that personal relationship — a genuine competitive threat.

**REASONABLENESS:** Three years is at the outer edge of reasonableness for financial services — clients typically review their financial planning relationships every 1-3 years. A three-year restriction is arguably proportionate to the time needed for Apex to establish new relationships with affected clients. Sub-clause (i) is NOT a non-compete (Kavitha can work as a financial advisor — just not for specific Apex clients). It is a non-solicitation of clients — which is a narrower and generally more enforceable type of restraint. Sub-clause (i) is ENFORCEABLE.

#### **APPLICATION — Sub-clause (iii) — Employee Non-Solicitation**

Sub-clause (iii) prevents Kavitha from soliciting any Apex employee to join a competing firm for three years.

**LEGITIMATE INTEREST:** Protecting human capital from targeted raiding by a departing employee who has inside knowledge of Apex's talent is a recognized legitimate interest.

**REASONABLENESS:** A three-year restriction on solicitation of employees (not a prohibition on hiring them if they self-initiate contact) is within reasonable bounds for a financial services firm.

Sub-clause (iii) is ENFORCEABLE.

#### **APPLICATION — Severance — Blue Pencil**

Because sub-clauses (i), (ii), and (iii) are separately numbered and independently meaningful, the invalid sub-clause (ii) can be struck by blue pencil severance without altering the character of the remaining sub-clauses. The remainder — (i) client restriction and (iii) employee non-solicitation — is grammatically complete and enforceable.

On the facts: Kavitha has not contacted former Apex clients and has not solicited Apex employees. She is therefore not currently in breach of sub-clauses (i) or (iii). Sub-clause (ii) is void and cannot be enforced against her decision to work at Bay Street Financial in Toronto.

#### **CONCLUSION**

Sub-clause (ii) — VOID: Non-compete clause struck down by Ontario's Working for Workers Act 2021 / ESA s.67.2 — Kavitha is not C-suite. Apex cannot enforce this sub-clause. Sub-clause (i) — ENFORCEABLE: Legitimate interest (specific Apex client relationships) + reasonable scope (three years, Apex clients only). Sub-clause (iii) — ENFORCEABLE: Legitimate interest (human capital protection) + reasonable scope (solicitation only, not hiring). SEVERANCE: Sub-clause (ii) severed; (i) and (iii) survive. On the current facts, Kavitha is not in breach of (i) or (iii).

### **Part (b) — Fairfield's Claim for the Renovation (8 marks)**

#### **ISSUE**

The issue is whether Fairfield can recover the value of its completed renovation work, notwithstanding that it performed without the required contractor's licence in breach of the Construction Act.

**RULE**

**EX TURPI CAUSA NON ORITUR ACTIO:** Courts will not enforce a contract that is illegal. A contractor who performs without a required licence is in breach of statute; the contract may be unenforceable against the owner. **EXCEPTIONS:** (1) The parties are not equally at fault (not in *pari delicto*); (2) Unjust enrichment — the owner accepted the benefit of the illegal performance; (3) Quantum meruit may be available even where the contract is unenforceable.

**APPLICATION — Can Fairfield Enforce the Contract?**

Because the Construction Act requires a valid licence for work over \$50,000 and Fairfield performed without one, the contract may be unenforceable as an illegal contract. Under the *ex turpi causa* principle, Fairfield cannot simply sue on the \$280,000 contract price.

**APPLICATION — Quantum Meruit — Unjust Enrichment Exception**

Because Dempster KNEW Fairfield was unlicensed mid-project and said nothing — allowing Fairfield to complete the renovation — Dempster is not an innocent party. The parties are not in *pari delicto*: Fairfield committed the statutory offence unknowingly (the licence lapsed without Fairfield's awareness until mid-project); Dempster was knowingly aware of the illegality from mid-project and chose to permit completion while knowing it would try to avoid payment.

Because Dempster has received and is enjoying a high-quality \$280,000 renovation — a substantial and permanent improvement to its property — without payment, Dempster is unjustly enriched at Fairfield's expense.

Courts have allowed quantum meruit recovery even in cases of contractual illegality where: (a) the parties are not equally culpable; (b) the owner consciously accepted the benefit; (c) refusing recovery would leave the owner with a windfall at the contractor's expense that is more offensive than the original illegality. Dempster's conduct — knowingly accepting a completed renovation while planning to invoke the contractor's licensing issue to avoid payment — is an abuse that courts will not endorse.

**QUANTUM:** Fairfield can recover the reasonable **VALUE** of the renovation — the market rate for comparable work of the quality delivered. The contract price (\$280,000) is strong evidence of market value. Fairfield should recover close to \$280,000 on quantum meruit, subject to any reduction for its own statutory breach.

**CONCLUSION**

Fairfield can recover on quantum meruit. The contract may be unenforceable as an illegal contract (unlicensed performance under the Construction Act). However, because Dempster knowingly accepted the benefit of the completed renovation with full awareness of the licensing issue (not in *pari delicto*), and because refusing recovery would unjustly enrich Dempster at Fairfield's expense, quantum meruit recovery is available. Fairfield should recover approximately the market value of the renovation — close to the contract price of \$280,000 — with a possible modest reduction reflecting Fairfield's statutory breach.

**QUESTION 10 OF 12**

|                         |                                                                                        |
|-------------------------|----------------------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Remedies — Expectation, Reliance, Mitigation, Hadley Remoteness                        |
| <b>Secondary Topics</b> | Hadley v Baxendale; Victoria Laundry; Anglia Television v Reed; White & Carter; Whiten |
| <b>Difficulty</b>       | Hard                                                                                   |
| <b>Suggested Time</b>   | 45 Minutes                                                                             |
| <b>Mark Value</b>       | 25 Marks                                                                               |

**FACT PATTERN**

Prism Publishing House ('Prism') contracted with celebrity chef and media personality Antoine Beaumont to write a cookbook ('The Beaumont Collection') for a fee of \$220,000. The contract required Antoine to deliver a completed manuscript by September 1. Prism told Antoine at contracting that: (a) it had already placed pre-orders with booksellers for 50,000 copies at \$45 each; (b) it had signed a television production company (GourmetTV) to produce a companion television series if the cookbook sold over 40,000 copies in its first year.

In June — two months before the manuscript deadline — Antoine announced by public statement that he was abandoning the cookbook to launch a competing personal brand. Prism immediately demanded Antoine honour the contract. Antoine refused. Prism did not seek a replacement author and did not cancel the pre-orders, choosing to wait to see if Antoine would change his mind.

By October (one month after the missed deadline), it became clear Antoine would not deliver. Prism then sought a replacement author. It found an alternative author but the replacement author required eight months to write the cookbook. As a result, the book was published 12 months late.

Prism claims the following damages: (i) \$220,000 sunk in advance marketing and television production preparation costs; (ii) \$500,000 in lost pre-order profits (50,000 copies × \$10 net profit per copy, lost due to the delay); (iii) \$800,000 in lost GourmetTV series profits that Prism alleges it would have earned if the cookbook had sold over 40,000 copies in its first year and the television series had been commissioned; (iv) punitive damages for Antoine's deliberate and cynical breach.

**YOUR TASK:**

25. (a) Advise Prism on the recoverability of each of its four heads of damage. (18 marks)
26. (b) Did Prism fail in its duty to mitigate, and if so, what is the effect on its damages? (7 marks)

**EXAMINER'S GUIDE**

Part (a): (i) Marketing/production costs — *Anglia Television v Reed*: pre-contractual wasted expenditure recoverable if within defendant's reasonable contemplation as likely to be wasted on breach. Were Prism's sunk marketing costs within Antoine's contemplation? The publishing deal + TV production were discussed at contracting — yes. (ii) Lost pre-order profits — Hadley first limb: naturally arising from breach of a publishing contract? Yes — lost book sales profits are the natural and obvious result of an author failing to deliver. These are recoverable subject to mitigation and certainty. But: 12-month delay vs total non-delivery? Profits are delayed, not permanently lost (the book did eventually publish). Prism's claim must be for the delay-period profit loss, not total loss. (iii) GourmetTV series profits — Hadley second limb: within reasonable contemplation at contracting? Antoine was TOLD about the TV deal at contracting — it was communicated to him. So within contemplation. But: are the profits CERTAIN? The TV series was conditional on selling 40,000 copies in year one — speculative. Loss of chance: there was a REAL chance the condition would be satisfied — loss of chance damages. (iv) Punitive damages — *Whiten v Pilot Insurance* 2002 SCC 18: available for breach of contract where there is an independently actionable wrong. Antoine's deliberate abandonment/cynical breach — is there an independently tortious wrong? Probably not — deliberate breach alone is not sufficient. *Whiten*: required an additional tortious element (bad faith + deception). Antoine's conduct may not meet this threshold.

Part (b): Prism did NOT immediately find a replacement author — it waited from June (Antoine's announcement) to October (four months) before starting to source a replacement. *White & Carter*: Prism could have chosen to affirm the contract, but it could not perform without Antoine — only Antoine could write the Beaumont Collection. Prism should have immediately sought a replacement in June when Antoine made clear he was abandoning the contract. The four-month delay in mitigation means Prism cannot recover the additional losses from that delay period.

Cases: *Hadley v Baxendale* [1854]; *Victoria Laundry* [1949]; *Anglia Television v Reed* [1972]; *White & Carter* [1962]; *Whiten v Pilot Insurance* 2002 SCC 18.

## MODEL ANSWER — QUESTION 10

### Part (a) — The Four Heads of Damage (18 marks)

#### (i) \$220,000 Marketing and Television Production Preparation Costs

##### ISSUE

The issue is whether Prism can recover its pre-contractual and performance-period marketing and television production preparation costs as reliance damages under *Anglia Television v Reed*.

##### APPLICATION — *Anglia Television v Reed* Analysis

Because Prism's advance marketing costs and television production preparation expenditures were incurred in anticipation of and in reliance on Antoine's contract, these are wasted expenditure incurred in reliance on the contract.

Under *Anglia Television v Reed*, reliance damages — including pre-contractual expenditures — are recoverable if they were within the defendant's reasonable contemplation as likely to be wasted if he breached. Because Antoine was told at contracting that Prism had placed 50,000 pre-orders and had a television production deal conditional on the cookbook, he knew that Prism had significant marketing and production commitments that would be wasted if he failed to deliver.

The \$220,000 marketing and television preparation costs are RECOVERABLE as wasted expenditure under *Anglia Television v Reed*.

#### (ii) \$500,000 Lost Pre-Order Profits

##### APPLICATION — *Hadley First Limb* Analysis

Lost profits from a publishing contract are the natural, ordinary consequence of an author's failure to deliver a manuscript. Under the first limb of *Hadley v Baxendale*, these losses arise naturally from Antoine's breach — no special circumstances need be communicated.

However, Prism's claim is for \$500,000 in 'lost' pre-order profits (50,000 copies × \$10 net profit). Because the cookbook was eventually published (12 months late rather than not at all), the pre-order profits were not permanently lost — they were delayed. Prism's recoverable loss is the profit lost due to the DELAY in publication, not the total loss of all pre-order revenue.

The appropriate measure: profits lost during the 12-month delay period (the difference between profits earned on the delayed schedule and what would have been earned on the original schedule) — not \$500,000 if that represents the total first-year pre-order profit that was ultimately earned on a delayed basis.

Subject to proper computation of delay-period profit loss (which may be less than \$500,000), pre-order profit loss is RECOVERABLE under *Hadley* first limb.

#### (iii) \$800,000 Lost GourmetTV Series Profits

##### APPLICATION — *Hadley Second Limb — Communicating the Special Circumstances*

Because Antoine was specifically told at contracting about the GourmetTV deal and its conditional nature (dependent on selling 40,000 copies in year one), this was a special circumstance communicated to Antoine within the meaning of *Hadley's* second limb. Antoine had the GourmetTV profits within his reasonable contemplation at contracting.

However, the GourmetTV series profits are SPECULATIVE — they were conditional on: (a) the cookbook selling 40,000+ copies in its first year (uncertain); (b) GourmetTV commissioning the series once the threshold was reached (the series was only 'signed' conditionally); (c) the series being

commercially successful enough to generate \$800,000 in profits for Prism.

**LOSS OF CHANCE:** Rather than recovering the full \$800,000, Prism can claim the **VALUE OF THE CHANCE** that the television series profits would have materialized. If Prism can establish there was a real (not merely theoretical) prospect the cookbook would have sold 40,000+ copies and the series would have generated \$800,000 in profits, the court will assess that probability and award that fraction.

Example: if there was a 30% probability the conditions would be met and the series would have earned \$800,000, Prism recovers  $30\% \times \$800,000 = \$240,000$  for loss of chance.

#### (iv) Punitive Damages

##### **APPLICATION — Whiten — Independent Actionable Wrong Required**

Under *Whiten v Pilot Insurance Co*, 2002 SCC 18, punitive damages for breach of contract require an **INDEPENDENTLY ACTIONABLE WRONG** — conduct that goes beyond mere breach of contract to constitute a separate tortious or bad faith wrong.

Antoine's conduct — announcing publicly that he was abandoning the contract to launch a competing personal brand — is a deliberate and cynical breach. However, deliberate breach alone does not constitute an independently actionable wrong. In *Whiten*, the insurer's denial of the claim was found to constitute the tort of bad faith (an independently actionable wrong beyond mere breach).

Antoine's abandonment, while deliberate and commercially opportunistic, does not appear to involve fraud, deceit, or conduct independently actionable in tort beyond the breach itself. There is no indication Antoine made false representations or engaged in any independently tortious conduct.

Punitive damages are **NOT** available. Prism must confine its claim to compensatory damages.

##### **CONCLUSION**

(i) \$220,000 marketing/production costs: **RECOVERABLE** — wasted reliance expenditure within Antoine's contemplation (*Anglia Television v Reed*). (ii) \$500,000 pre-order profits: **PARTIALLY RECOVERABLE** — delay-period profit loss under *Hadley* first limb; the claim must be reduced to reflect delay damages, not total loss. (iii) \$800,000 GourmetTV profits: **RECOVERABLE AS LOSS OF CHANCE** — Antoine was told about the conditional TV deal at contracting (*Hadley* second limb); Prism recovers the probability-weighted value of the lost chance. (iv) Punitive damages: **NOT AVAILABLE** — Antoine's deliberate breach is not an independently actionable wrong under *Whiten*.

#### Part (b) — Duty to Mitigate (7 marks)

##### **ISSUE**

The issue is whether Prism failed in its duty to mitigate by waiting from June (Antoine's abandonment announcement) to October before seeking a replacement author.

##### **RULE**

The innocent party must take **REASONABLE STEPS** to minimize their loss from the breach. Failure to mitigate reduces recoverable damages by the amount that could have been avoided. **WHITE & CARTER:** An innocent party may **AFFIRM** the contract rather than accept repudiation — but only if they can perform without the breaching party's cooperation and continued performance is not wholly unreasonable.

##### **APPLICATION — Did Prism Fail to Mitigate?**

In June, Antoine made a **PUBLIC** announcement that he was abandoning the cookbook. This was an unequivocal anticipatory breach — Antoine was not merely expressing doubt; he publicly declared he was abandoning the contract for a competing project.

A **REASONABLE PUBLISHER** in Prism's position — with 50,000 pre-orders placed, a television deal conditional on first-year sales, and significant marketing investment — would immediately begin

sourcing a replacement author in June, not wait until October (four months after the clear announcement).

Prism's decision to 'wait to see if Antoine would change his mind' for four months was NOT reasonable mitigation. The public nature of Antoine's announcement (a public statement announcing a competing personal brand) made it clear the breach was serious and deliberate — not a temporary position likely to be reversed.

White & Carter does not assist Prism here: White & Carter allows an innocent party to affirm and perform without the breaching party's cooperation — but Prism CANNOT produce the Beaumont Collection without Antoine's cooperation (only Antoine can write Antoine Beaumont's cookbook). Prism had no choice but to find a replacement; its choice was whether to do so immediately or after four months.

The four-month delay from June to October cost Prism an additional four months of delay on top of the eight months needed for the replacement author — contributing to the 12-month total delay. A reasonably mitigating publisher would have incurred only an 8-month delay (the time needed for the replacement author if engaged in June).

### CONCLUSION

Prism failed to mitigate by waiting four months before seeking a replacement author. Prism's recoverable damages for the delay period are limited to the eight-month replacement writing period (the unavoidable delay from a reasonable June engagement of a replacement author). The additional four months of delay — caused by Prism's unreasonable inaction from June to October — represents avoidable loss. Prism cannot recover profits lost during those additional four months of avoidable delay.

## QUESTION 11 OF 12

|                         |                                                             |
|-------------------------|-------------------------------------------------------------|
| <b>Primary Topic</b>    | Unconscionability + Duress + Specific Performance           |
| <b>Secondary Topics</b> | Harry v Kreutziger; economic duress; Semelhago; injunctions |
| <b>Difficulty</b>       | Medium                                                      |
| <b>Suggested Time</b>   | 36 Minutes                                                  |
| <b>Mark Value</b>       | 20 Marks                                                    |

### FACT PATTERN

**SCENARIO A — UNCONSCIONABILITY:** Elias Nkrumah is a 78-year-old retired machinist with limited formal education. His home in Hamilton, Ontario, was assessed at \$740,000. In urgent need of funds to cover unexpected medical bills, Elias responded to an advertisement by Capital Advantage Corp. ('CAC'), a real estate investment company. CAC's representative met Elias at his home for 45 minutes. CAC offered to purchase Elias's home for \$320,000 in cash — 'quick close, no realtor fees, no hassle, cash in hand in ten days.' Elias, panicked about his medical bills, signed the agreement of purchase and sale (APS) without consulting a real estate agent or lawyer. CAC never told Elias that the assessed value was \$740,000. Ten days after signing, Elias seeks to rescind the APS.

**SCENARIO B — SPECIFIC PERFORMANCE:** Whitmore Properties Inc. ('Whitmore') entered into an agreement of purchase and sale with Harrington Estates Inc. ('Harrington') to purchase a heritage-designated Victorian mansion in Ottawa for \$3.8 million. The property was designated under the Ontario Heritage Act and subject to conservation easements preventing exterior alteration. Harrington repudiated the APS three weeks before closing, having received a higher offer of \$4.2 million from another buyer.

Whitmore immediately sought specific performance of the APS. Harrington argues: (1) specific performance is not available — Whitmore can be adequately compensated in damages; (2) an award of specific performance would cause Harrington significant hardship as it had already accepted a deposit from the other buyer.

### YOUR TASK:

27. (a) Is the APS between Elias and CAC unconscionable? Can Elias rescind it? (10 marks)
28. (b) Is Whitmore entitled to specific performance of the APS for the Victorian mansion? Apply the Semelhago principles. (10 marks)

### EXAMINER'S GUIDE

Part (a): Harry v Kreutziger two-part test. Element 1 — Inequality of bargaining power: Elias = 78 years old, limited education, panicked by medical bills, 45-minute meeting, no independent advice. CAC = experienced real estate investment company. Clear inequality. Element 2 — Improvident bargain: \$320,000 for a home assessed at \$740,000 = 43% of assessed value. No reasonable person with full information would accept \$320,000 for a \$740,000 home. Both elements clearly established. Additional: CAC concealed the assessed value — arguably non-disclosure bordering on fraudulent misrepresentation by omission (though general rule is no duty to disclose). The urgent medical bills context = additional pressure suggesting duress or exploitation of vulnerability. Rescission should be granted.

Part (b): Semelhago v Paramadevan [1996] 2 SCR 415 — land is no longer automatically presumed unique in Canada. Whitmore must show the property was unique to it — that damages would be genuinely inadequate. Heritage-designated Victorian mansion in Ottawa with conservation easements: this is NOT a mass-produced condo — it is a one-of-a-kind heritage property that cannot be replicated by money. Conservation easements mean no equivalent substitute exists (you cannot buy and modify another property to replicate a conserved heritage designation). Semelhago satisfied — specific performance appropriate. Harrington's hardship argument: accepting a deposit from another buyer does not prevent specific performance — it is Harrington's own problem for selling what it was not free to sell.

Cases: Harry v Kreutziger (1978) BCCA; Semelhago v Paramadevan [1996] 2 SCR 415.

## MODEL ANSWER — QUESTION 11

### Part (a) — Unconscionability: Elias and CAC (10 marks)

#### ISSUE

The issue is whether the APS between Elias and CAC is unconscionable, and whether Elias is entitled to rescind.

#### RULE

Harry v Kreutziger (1978) BCCA: TWO ELEMENTS: (1) Significant inequality of bargaining power; (2) An improvident bargain resulting from that inequality. Both must be present.

#### APPLICATION — Element 1 — Inequality of Bargaining Power

Because Elias was a 78-year-old retired machinist with limited formal education, he lacked the sophistication to assess the market value of his home or recognize the inadequacy of CAC's offer. Because Elias was in an acute state of financial panic — facing unexpected medical bills — he was in a state of urgent vulnerability at the moment CAC approached him. Urgent financial need is a

recognized form of vulnerability that creates inequality of bargaining power.

Because Elias had only 45 minutes to consider CAC's offer — in a single unannounced meeting — he had no meaningful opportunity to reflect, consult, or compare offers.

Because Elias was never told the assessed value of his home (\$740,000) and received no independent legal or real estate advice, he lacked the information necessary to make an informed decision.

Because CAC is an experienced real estate investment company that regularly acquires distressed properties, it had vastly superior knowledge and experience compared to Elias. The inequality of bargaining power is substantial and clear.

#### **APPLICATION — Element 2 — Improvident Bargain**

Because CAC offered \$320,000 for a property assessed at \$740,000 — approximately 43% of its assessed value — the bargain was grossly improvident. No reasonable person with full information and access to independent advice would sell a \$740,000 home for \$320,000.

The improvidence is so severe that it reflects the exploitation of Elias's vulnerability rather than a genuine commercial negotiation. This is precisely the type of case that the doctrine of unconscionability was developed to address: *Harry v Kreutziger* involved a sale at a small fraction of market value by a vulnerable party without independent advice.

#### **APPLICATION — Rescission**

Both elements of *Harry v Kreutziger* are clearly established. The APS is unconscionable and should be set aside. Elias is entitled to rescission.

**BARS TO RESCISSION:** The APS was signed ten days ago — Elias sought rescission almost immediately upon (presumably) learning the full picture. No bar to rescission applies: no affirmation; no impossibility of restoration; no third party rights (CAC has not sold the property onward). Rescission in full is available.

#### **CONCLUSION**

The APS between Elias and CAC is unconscionable under *Harry v Kreutziger*. Element 1 (inequality of bargaining power): Elias — elderly, limited education, acute financial panic, no independent advice, 45-minute meeting. CAC — experienced real estate investor. Clear and severe inequality. Element 2 (improvident bargain): \$320,000 for a \$740,000 home = 43% of value. No reasonable person with full information would accept. Both elements established. Elias is entitled to **RESCISSION** of the APS. No bars to rescission apply.

### **Part (b) — Specific Performance: Victorian Mansion (10 marks)**

#### **ISSUE**

The issue is whether Whitmore is entitled to specific performance of the APS for the heritage-designated Victorian mansion in Ottawa, applying the *Semelhago* principles.

#### **RULE**

*Semelhago v Paramadevan* [1996] 2 SCR 415: Land is no longer automatically presumed unique for purposes of specific performance in Canada. The innocent party must establish that the specific land was unique to them — that money damages would genuinely be inadequate in the specific circumstances. Mass-produced residential properties may not meet this threshold; heritage properties with specific irreplaceable characteristics may.

#### **APPLICATION — Is the Victorian Mansion Unique? — *Semelhago* Applied**

The Victorian mansion is heritage-designated under the Ontario Heritage Act and subject to conservation easements preventing exterior alteration. This is not a standard residential property — it

is a one-of-a-kind heritage asset that cannot be substituted by money damages.

Because the property is subject to heritage designation and conservation easements, Whitmore cannot simply take the damages and purchase a comparable property: (a) no equivalent Victorian mansion in Ottawa exists that is also heritage-designated and conservation-protected in the same way; (b) even if another Victorian property existed, Whitmore could not modify it to replicate the heritage character — the conservation easements run with this specific property and its specific historical significance.

This is precisely the type of property Semelhago contemplated would still attract specific performance — a genuinely unique heritage asset that cannot be replicated by money. Whitmore acquired this property for its heritage character (the designation, the conservation easements, the irreplaceable architectural attributes). Money damages cannot substitute for those specific attributes.

### APPLICATION — Harrington's Hardship Argument

Harrington argues specific performance would cause hardship because it has accepted a deposit from another buyer. This argument fails on two grounds: (a) Harrington's acceptance of another buyer's deposit was its own decision, made when Harrington already had an existing enforceable contract with Whitmore — Harrington cannot create hardship through its own breach and then rely on that hardship to avoid the consequences of the breach; (b) hardship to the defendant must be disproportionate to the benefit to the plaintiff — Whitmore's interest in a unique heritage asset it contracted for outweighs Harrington's interest in receiving a \$400,000 premium from a competing buyer.

### CONCLUSION

Whitmore is entitled to specific performance of the APS. Applying Semelhago: the heritage-designated Victorian mansion with conservation easements is genuinely unique — it cannot be replicated by money damages. No equivalent substitute property exists; the conservation easements are tied to this specific property's historical significance. Harrington's hardship argument fails — Harrington created its own hardship by accepting another buyer's deposit when it was not free to do so. The court should order specific performance, requiring Harrington to complete the sale to Whitmore at the agreed price of \$3.8 million.

## QUESTION 12 OF 12

|                         |                                                                                               |
|-------------------------|-----------------------------------------------------------------------------------------------|
| <b>Primary Topic</b>    | Full Exam Simulation — Tendering + Modification + Frustration + Remedies                      |
| <b>Secondary Topics</b> | Complete four-issue exam question — Ron Engineering, Gilbert Steel, Davis Contractors, Hadley |
| <b>Difficulty</b>       | Very Hard                                                                                     |
| <b>Suggested Time</b>   | 54 Minutes                                                                                    |
| <b>Mark Value</b>       | 30 Marks                                                                                      |

### FACT PATTERN

Lakewood Municipality ('Lakewood') issued a call for tenders for the construction of a new recreation centre. The tender documents stated:

[Spec 4]: All bids must include a five-year structural warranty covering all materials and workmanship.

[Spec 7]: 'The lowest compliant tender will be accepted.'

[Clause 15]: 'Lakewood reserves the right to waive any defect in any bid.'

[Clause 19]: 'No bidder shall have any claim against Lakewood for compensation arising from

participation in this tendering process, including for any failure to accept the lowest or any tender.'

Three contractors submitted bids: Stonecraft Inc. ('Stonecraft') at \$8.2 million with a five-year structural warranty; Pinnacle Build Corp. ('Pinnacle') at \$8.7 million with a five-year structural warranty; and Redwood Construction Ltd. ('Redwood') at \$7.9 million but WITHOUT a five-year structural warranty — Redwood's bid proposed only a two-year warranty.

Lakewood awarded the contract to Redwood, citing its lower price. Lakewood stated it was 'waiving' the warranty specification under Clause 15.

**CONTRACT MODIFICATION:** Stonecraft brought a legal challenge. During the litigation, Lakewood and Redwood began construction. Three months into construction, Redwood discovered that the site had previously been used as an industrial facility, and the soil required extensive remediation costing \$600,000. Redwood demanded an additional \$600,000 from Lakewood, or it would stop work. Lakewood's project manager agreed to the additional payment to avoid construction delays.

**FRUSTRATION:** Four months later, the provincial government enacted emergency legislation requiring all new municipal recreation centres to meet a new seismic code standard. Complying with the seismic code on the existing partially-completed structure required complete demolition and rebuilding — at a cost of \$3.2 million above the original contract price. Redwood pulled out of the project entirely.

Stonecraft (as a compliant bidder whose legal challenge was pending) now claims it should be awarded the contract and is entitled to all losses suffered from the wrongful award to Redwood.

#### YOUR TASK:

29. (a) Did Lakewood breach Contract A with Stonecraft? What are Stonecraft's damages? (10 marks)
30. (b) Was Lakewood's agreement to pay Redwood an additional \$600,000 for soil remediation enforceable? (7 marks)
31. (c) Was Redwood's contract with Lakewood frustrated by the seismic code legislation? If so, what are the consequences? (8 marks)
32. (d) Does Clause 19 bar Stonecraft's claims against Lakewood? Apply Tercon. (5 marks)

#### EXAMINER'S GUIDE

Full simulation integrating the four major Contract Law themes. (a) Contract A (Ron Engineering — Stonecraft's compliant bid created Contract A). Spec 7 ('lowest compliant tender will be accepted') created an OBLIGATION — not just a right — to award to Stonecraft (\$8.2M), the lowest compliant bid. Redwood's bid was non-compliant (no 5-year warranty). Clause 15 privilege clause — MJB: privilege clause cannot authorize acceptance of non-compliant bid. Stonecraft's damages: reliance (bidding costs) + expectation (profit on Contract B). (b) Pre-existing duty: Redwood was already contractually obligated to complete construction. Soil remediation is an unknown risk — is it within Redwood's existing duty? Likely yes (Redwood assumed site risk). Gilbert Steel: no fresh consideration. Economic duress: threat to stop construction is illegitimate pressure. Both arguments for unenforceability. (c) Seismic code legislation is supervening illegality — the original structure cannot legally be completed. But: is this frustration or just a change in required standard? New seismic code doesn't make recreation centre construction impossible — it makes the original incomplete building non-compliant. True frustration if the building must be demolished entirely and rebuilt. Apply Davis Contractors: is this RADICALLY DIFFERENT? Yes — demolition and complete rebuild at \$3.2M extra is not the same project. Frustrated Contracts Act: Lakewood has received partial work (four months of construction) as a valuable benefit. (d) Clause 19 exclusion — Tercon Step 1: does 'arising from participation in this tendering process' cover Stonecraft's claim that Lakewood awarded to an ineligible non-compliant bidder? Following Tercon: the clause covers participating in the process — not claims from Lakewood awarding to a non-compliant bidder

(analogous to the Province accepting Brentwood's ineligible joint venture). Clause 19 does not bar Stonecraft's claim.

Cases: Ron Engineering; MJB Enterprises; Tercon 2010 SCC 4; Gilbert Steel; Davis Contractors; Frustrated Contracts Act.

## MODEL ANSWER — QUESTION 12

### Part (a) — Contract A Breach and Stonecraft's Damages (10 marks)

#### ISSUE

The issues are: (1) whether Contract A was formed between Lakewood and Stonecraft; (2) whether Lakewood breached Contract A by awarding to Redwood; and (3) the measure of Stonecraft's damages.

#### APPLICATION — Contract A Formation and Breach

Because Lakewood issued a call for tenders (an invitation to treat — Ron Engineering) and Stonecraft submitted a fully compliant bid at \$8.2 million (meeting all specifications including the five-year structural warranty under Spec 4), Contract A was formed between Lakewood and Stonecraft at the moment of submission.

Because Redwood's bid proposed only a two-year warranty rather than the required five-year warranty (Spec 4), Redwood's bid was NON-COMPLIANT. A non-compliant bid does not create Contract A.

Because Spec 7 stated 'the lowest compliant tender will be accepted' — using mandatory language — Lakewood was obligated (not merely permitted) to award Contract B to the lowest COMPLIANT tender. Stonecraft at \$8.2 million was the lowest compliant bid.

PRIVILEGE CLAUSE (Clause 15): Clause 15 permits Lakewood to 'waive any defect in any bid.' Under MJB Enterprises, a privilege clause does not permit the owner to accept a bid that fails to meet the core specifications — it allows waiver of technical informalities, not fundamental non-compliance. Redwood's failure to include a five-year structural warranty (a substantive specification, not a technicality) is a fundamental non-compliance that Clause 15 cannot waive.

By awarding to Redwood, Lakewood breached Contract A with Stonecraft: (a) it failed to award to the lowest compliant bidder as Spec 7 required; and (b) it accepted a non-compliant bid in violation of the implied term of Contract A (MJB Enterprises).

#### APPLICATION — Stonecraft's Damages

RELIANCE DAMAGES: Stonecraft's costs of preparing and submitting its \$8.2 million bid are recoverable as reliance loss — they were wasted directly because of Lakewood's wrongful award.

EXPECTATION DAMAGES: Because Spec 7 mandated award to the lowest compliant bidder, and Stonecraft was that bidder, Stonecraft should have been awarded Contract B. Stonecraft's expectation damages are the profit margin on the \$8.2 million contract. Stonecraft must prove its expected profit — typically the difference between the contract price and its estimated cost to complete.

#### CONCLUSION

Lakewood BREACHED Contract A with Stonecraft by awarding to Redwood (non-compliant — no 5-year warranty) in preference to Stonecraft (lowest compliant bid). Spec 7 created an obligation to award to the lowest compliant bidder; Clause 15 cannot authorize acceptance of fundamental non-compliance (MJB). Stonecraft's damages: reliance loss (bidding costs) + expectation loss (profit on Contract B, the \$8.2 million recreation centre contract).

**Part (b) — The \$600,000 Soil Remediation Modification (7 marks)****ISSUE**

The issue is whether Lakewood's agreement to pay Redwood an additional \$600,000 for soil remediation — threatened with construction stoppage — is enforceable.

**APPLICATION — Pre-Existing Duty / Economic Duress**

Under the original contract, Redwood was obligated to complete construction of the recreation centre on the contracted site. Whether the soil remediation obligation fell within Redwood's existing duty depends on who bears the risk of site conditions — typically, unless the contract specifically allocates unusual site conditions to the owner, the contractor (who was expected to investigate the site before bidding) assumes this risk.

Because Redwood bid \$7.9 million without a warranty and presumably conducted (or should have conducted) its own site investigation, the unknown industrial contamination is a site risk that Redwood assumed in tendering. Remediating the soil is part of Redwood's existing obligation to complete construction on the contracted site. Under Gilbert Steel, Redwood provides no fresh consideration for the \$600,000 modification — it is performing (or should be performing) its existing contractual duty.

**ECONOMIC DURESS:** Redwood's threat to stop construction mid-project was a threatened breach of Contract B (an illegitimate pressure). Lakewood had no practical alternative — stopping construction mid-project would cause significant additional costs, delays, and complications. The agreement was procured by illegitimate economic duress. Lakewood can resist payment on this additional ground.

**CONCLUSION**

Lakewood's promise to pay the additional \$600,000 for soil remediation is NOT enforceable. Redwood provided no fresh consideration — soil remediation is within its existing contractual obligation to build on the contracted site (Gilbert Steel). Additionally, Redwood's threat to stop construction was illegitimate economic duress. Lakewood need not pay the \$600,000 modification.

**Part (c) — Frustration by Seismic Code Legislation (8 marks)****ISSUE**

The issue is whether the seismic code legislation frustrated Redwood's contract with Lakewood, and the consequences under the Frustrated Contracts Act.

**APPLICATION — Frustration Analysis — Davis Contractors**

The provincial seismic code legislation required all new municipal recreation centres to meet a new standard. Complying with the seismic code on the partially completed existing structure required COMPLETE DEMOLITION AND REBUILDING at a cost of \$3.2 million above the original contract price.

Applying Davis Contractors: is performance now RADICALLY DIFFERENT from what was contracted for? Under the original contract, Redwood was to build a recreation centre for \$7.9 million (plus the disputed \$600,000). The seismic legislation requires demolishing what has been built and starting over — this is not merely more expensive construction of the same building; it is a fundamentally different project (demolition + rebuilding vs construction).

**SUPERVENING ILLEGALITY:** The legislation makes the partially completed structure non-compliant — it cannot legally be occupied as a recreation centre. This is supervening illegality of the specific structure as built.

Because completing the original contract is now either illegal (the structure cannot be used as built) or requires a fundamentally different scope of work (complete demolition and rebuild), the contract is FRUSTRATED.

**APPLICATION — Frustrated Contracts Act Consequences**

S.3(3) — VALUABLE BENEFIT: Lakewood has received four months of partially completed construction work — a concrete foundation, structural framing, and early-stage construction. This is a valuable benefit, even though the legislation now requires demolition. The court must assess what, if any, value the partial construction has to Lakewood (perhaps as a foundation for a redesigned structure; perhaps nil if demolition is required anyway).

If the partial construction must be entirely demolished, the 'benefit' to Lakewood approaches zero — the legislation's effect on the value of the benefit is total. The just sum may be minimal.

S.3(2) — Any advance payments by Lakewood to Redwood for work not yet performed are recoverable.

### CONCLUSION

The contract is FRUSTRATED by the seismic code legislation. Demolishing and rebuilding the structure is a project radically different from the original contract — supervening legislation has made the original performance legally non-compliant and commercially impossible to complete as contracted (Davis Contractors). Under the Frustrated Contracts Act: s.3(3) — Lakewood may be required to pay a just sum for the partial construction Redwood completed before the legislation, assessed at its actual value to Lakewood (which may be low or nil if demolition is required anyway). Both parties are discharged from future obligations.

## Part (d) — Clause 19 Exclusion — Tercon (5 marks)

### ISSUE

The issue is whether Clause 19 — excluding 'any claim for compensation arising from participation in this tendering process' — bars Stonecraft's claims against Lakewood.

### APPLICATION — Tercon Step 1 — Interpretation

Clause 19 excludes claims arising from 'participation in this tendering process.' Stonecraft's claim arises not from its own participation in the tendering process but from LAKEWOOD AWARDDING TO A NON-COMPLIANT BIDDER in violation of the implied terms of Contract A and the mandatory requirements of Spec 7.

Applying the Tercon majority's reasoning: the clause covers claims from the bidder's participation — it does not cover claims arising from Lakewood's wrongful conduct in accepting a non-compliant bid. Stonecraft's harm arose not from its decision to participate but from Lakewood's breach of Contract A. Contra proferentem: Clause 19 was drafted by Lakewood. Any ambiguity in 'arising from participation' is resolved against Lakewood.

### CONCLUSION

Clause 19 does NOT bar Stonecraft's claims. Applying Tercon Step 1: the clause covers claims from participating in the tendering process — not claims arising from Lakewood's breach of Contract A by accepting a non-compliant bid. The clause is interpreted strictly against the drafter (Lakewood) and does not clearly cover the type of breach at issue. Steps 2 and 3 are not reached — the clause does not apply on its plain meaning. Stonecraft's full claim (reliance + expectation damages) remains available.